



International
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PROSPECTS

Guidelines on costing and financing

► Recognition of prior learning (RPL)



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Guidelines on costing and financing

► **Recognition of prior learning (RPL)**



► Foreword

Technological advances, climate changes, and demographic shifts are fundamentally reshaping the world of work. To navigate these changes and foster a just transition, investing in skills and lifelong learning is essential. While people gain valuable competencies throughout their lives, this learning often occurs outside formal systems. Without formal recognition, these skills remain invisible, hindering access to decent work, lifelong learning opportunities, and social inclusion. Recognition of Prior Learning (RPL) is the strategic tool that makes this vital learning visible.

Across the world, countries see RPL as essential for building resilient and inclusive workforces. It is a key enabler for certifying the skills of workers in the informal economy, migrant workers, forcibly displaced persons, and other vulnerable groups, thereby improving employability and promoting full, productive, and freely chosen employment. For enterprises, RPL offers a pathway to validate and build upon the skills of their employees, enhancing productivity and fostering economic development. However, while the value of RPL is clear, the challenge of how to design innovative, transparent, equitable, and sustainably finance it has remained a persistent obstacle, especially for low- and middle-income countries.

These guidelines are the ILO's direct response to that challenge. They provide a comprehensive framework for understanding and mastering the financial architecture of RPL, detailing the direct, support, and opportunity costs involved. Moving beyond theory, this document explores diverse financing models and provides practical guidance on building the sustainable, inclusive, and equitable financial arrangements required for robust national systems. They are designed to support policymakers, social partners, practitioners, and international organizations in making the informed financial decisions necessary to build RPL systems that last.

This publication is the result of the dedicated work of its authors, Patrick Werquin, Sabrina Foka-Terle and, Henri Ebelin. Its content was strengthened by the technical review provided by Christine Hofmann (ILO), Julien Varlin (ILO), and Ernesto Villalba-Garcia (CEDEFOP). The authors and project team also wish to acknowledge the foundational work of Ashwani Aggarwal, whose contributions to the field of Recognition of Prior Learning provided guidance. This report was made possible with funding from PROSPECTS partnership funded by the Government of the Netherlands.

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► Abbreviations and Acronyms

CPF	<i>Compte Personnel de Formation</i> (France)
ESF	European Social Fund
HEI	Higher Education Institution
IDB	Inter-American Development Bank
ILO	International Labour Organization
IRADA	<i>Initiative régionale d'appui au développement économique durable</i> (Tunisia)
KPI	Key Performance Indicators
NEA	National Employment Authority
NGO	non-governmental organisation
NITA	National Industrial Training Authority (Kenya)
NSF	National Skills Fund
OPCO	<i>Opérateurs de Compétences</i> (France)
PEFESE	<i>Programme d'appui budgétaire aux secteurs de l'éducation, de la formation, de l'enseignement supérieur pour l'employabilité des diplômés</i> (Tunisia)
PPP	Public-Private Partnership
PSE	Public employment service
RAP	<i>Reconocimiento de los aprendizajes previos</i> (Colombia)
RCV	<i>Rendre les compétences visibles</i> (Tunisia)
RPL	Recognition of Prior Learning
SDF	Skills Development Fund
SDL	Skills Development Levy
SENA	<i>Servicio Nacional de Aprendizaje</i> (Colombia)
SETA	Sector Education and Training Authority (South Africa)
SSG	Skills Future Singapore
STEP	Skills and Training Enhancement Project (Bangladesh)
TVET	Technical and Vocational Education and Training
TVETA	Technical and Vocational Education and Training Authority (Kenya)
YEDF	Youth Enterprise Development Fund



Executive summary

These guidelines on costing and financing Recognition of Prior Learning (RPL) aim to fill the knowledge gap in the financial aspects of establishing and maintaining RPL systems. They support countries, especially low- and middle-income countries and those hosting migrant workers and displaced persons, in developing, expanding and sustaining their RPL systems.

RPL systems are essential for certifying skills acquired through non-formal and informal learning. These systems benefit individuals, especially those in the informal economy or disadvantaged groups, by improving employability and career prospects. Enterprises also benefit from RPL as it allows their employees to validate their skills.¹

Key stakeholders in RPL systems include governments, adult learning centres, non-governmental organizations, enterprises, certification bodies, social partners and individuals. Effective governance and collaboration among these stakeholders are crucial for the success of RPL systems.

These guidelines detail the various costs associated with setting up and maintaining RPL systems, categorized into direct costs, support costs and opportunity costs. They encompass awareness and information dissemination, guidance and facilitation, assessment and certification, upskilling, as well as the regulatory and institutional framework, stakeholder engagement and quality assurance.

Financing RPL involves multiple models and funding sources, including government funding, employer contributions, individual payments and donor financing. These guidelines discuss the balance between demand-side and supply-side funding, emphasizing the importance of sustainable, inclusive and equitable financial arrangements.

Effective governance structures are necessary to ensure transparency, accountability and efficient use of resources in financing RPL. This includes establishing clear regulatory frameworks, quality assurance mechanisms and engaging stakeholders through promotion and communication strategies.

Common challenges in implementing RPL systems include securing long-term financing ensuring government and enterprise involvement, reaching remote and disadvantaged groups, ensuring quality assurance and avoiding reliance on a single funding source. These guidelines recommend adopting measures to save costs such as leveraging existing infrastructure, promoting flexible delivery schedules and establishing partnerships with enterprises and existing education and training centres with technical platforms.

The document provides various country examples, including Australia, Bangladesh, Colombia, Kenya, South Africa and Tunisia, illustrating different approaches to costing and financing RPL. These examples highlight the importance of tailored solutions to address specific national contexts and needs.

Finally, these guidelines emphasize the need for comprehensive planning, stakeholder engagement and sustainable financial arrangements to establish and maintain effective RPL systems. These guidelines focus on the financial aspects of RPL to help countries enhance workforce skills, improve employability and promote lifelong learning.

¹ Use of validation by enterprises for human resource and career development purposes
DOI: 10.2801/47250TI-RF-13-001-EN-CISBN: 978-92-896-1139-805/05/2014



Introduction

While assessing and recognizing skills that people already possess is expected to be less costly than developing these skills, Recognition of Prior Learning (RPL) systems do have a cost. Many countries have described the financing mechanisms they have opted for, as well as the different services included in an RPL system that need to be developed and maintained. Yet there is often little knowledge about the costs for setting up and sustaining such a system. A deeper understanding of financing models and their effectiveness in achieving the different purposes of RPL required to inform policymakers, guide the decision-making processes and facilitate the development of tailored solutions that support systems' longevity and equitable participation.

These new ILO guidelines aim to fill this gap by providing evidence-based advice on how to assess costs and design financing arrangements to set up, expand and/or sustain a country's RPL system.² While experiences of countries in multiple income groups will be taken into consideration, the guide aims to primarily support low- and middle-income countries and those that host migrant workers and forcibly displaced persons. For practical purposes, only six countries were studied in detail during the fact-finding process. Australia, Bangladesh, Colombia, Kenya, South Africa and Tunisia chosen as a representative sample, from different languages, income levels, regions of the world and at different stages of advancement regarding RPL. The methodology involved a mix of desk-based research and interviews with key respondents whenever necessary for clarification in relation to the existing literature.

In addition to this introduction, an executive summary, a list of references and some annexes, this document contains five sections. Section 1 provides some guidance on how to use these guidelines, for readers who want to go straight to their topic(s) of interest and/or read the sections independently of one another. Section 2 provides a brief reminder of what RPL is about. Section 3 describes all the possible costs of RPL. Section 4 analyses the RPL financial arrangements. Section 5 proposes a conclusion with a costing checklist.

► How to use these guidelines

This guide has been designed to support ILO constituents wishing to develop RPL in their own country and to help sustain the RPL system in countries that have already piloted and/or implemented it.

This tool shows how to assess costs and design financing arrangements to set up and sustain a country's RPL system and to determine how costs should be shared among the key stakeholders in the system (governments, employers, individuals and international organizations). This guide will help to consider the different contextual factors in setting up the system, the costs of implementation and the sustainability

² While sector- or enterprise-based RPL systems are not radically different, they will not be addressed herein.

of the system, how to keep the system agile in ever-changing labour markets and the perspective of anticipating costs and financing.

What this guide is not is a method for implementing RPL in countries, nor a way of calculating the cost of RPL per capita. This guide has been drawn up to help each country implement RPL by highlighting key cost and financial aspects that need to be considered. Examples from different RPL systems are provided to show how countries are addressing these aspects. The aim is not to transpose any solution directly, but to see if they can be suitable for other contexts and adaptable to local particularities.

To know what an RPL system may cost, section 3 covers direct costs, support costs and opportunity cost. It helps readers understand where costs could arise, especially unexpected ones. This section provides the basis for calculating those costs given the country context and offers evidence-based recommendations on how to save costs.

To know what the possible options for funding RPL are, section 4 covers the theory and provides some evidence on how countries are usually covering the costs identified earlier. Section 5 is a short conclusion stressing a cost-sharing approach and proposing an abridged costing checklist.



The role and impact of RPL System

Understanding benefits and
global practices



► 1.1. Defining RPL and its target groups

The ILO defines the term “recognition of prior learning” as a process, undertaken by qualified personnel, of identifying, documenting, assessing and certifying a person’s competences, acquired through formal, non-formal or informal learning, based on established qualification standards.³

RPL helps compensate for the lack of formal qualifications at the end of initial education and/or work-based learning, often in the informal economy and supports access to further occupational and educational opportunities. It also enables people to upgrade their skills and qualifications or requalify, through appropriate assessments and/or additional training, often in a shorter time frame than formal learning systems.

RPL also widens access to lifelong learning, particularly for disadvantaged groups such as migrant workers and people with low levels of qualification.

► 1.2. Benefits of RPL for individuals and societies

The RPL system offers a wide range of benefits for all stakeholders in a lifelong learning system, with these benefits varying depending on the country’s specific context. These benefits are typically linked to educational, socio-political and economic advantages for societies.⁴

RPL contributes to the development of more flexible and adaptable education and training systems by validating learning outcomes acquired in formal, non-formal and informal contexts. It can lead to full or part qualifications, credits toward a qualification or exemption for access to formal education, thereby supporting upskilling and occupational mobility.⁵ This flexibility allows less traditional learners, such as those from low socio-economic backgrounds or older individuals, to access higher levels of education more efficiently, reducing the time and resources needed to obtain qualifications and enabling smoother career transitions.

RPL’s ability to grant access and new opportunities for disadvantaged groups positions it as a vital tool for promoting social inclusion and equity. By officially validating an individual’s knowledge and skills, RPL enhances employability and provides formal recognition of a certain level of competence. In turn, this recognition empowers individuals to leverage their certified skills in the labour market in various ways. For instance, RPL can help meet qualification requirements in regulated occupations, support transitions between sectors and facilitate the transfer of knowledge, skills and competences across national borders, thereby enhancing skills portability and mobility for migrant workers. RPL also enables transitions from the informal to

³ International Labour Conference, 111th Session, Quality Apprenticeships Recommendation, 2023 (No. 208), article 1 paragraph d

⁴ Villalba-García, E. (2021). Validation of non-formal and informal learning: The hero with a thousand faces? *European Journal of Education*, 56, 351–364. <https://doi.org/10.1111/ejed.12468>

⁵ <https://www.cedefop.europa.eu/en/publications/3093>

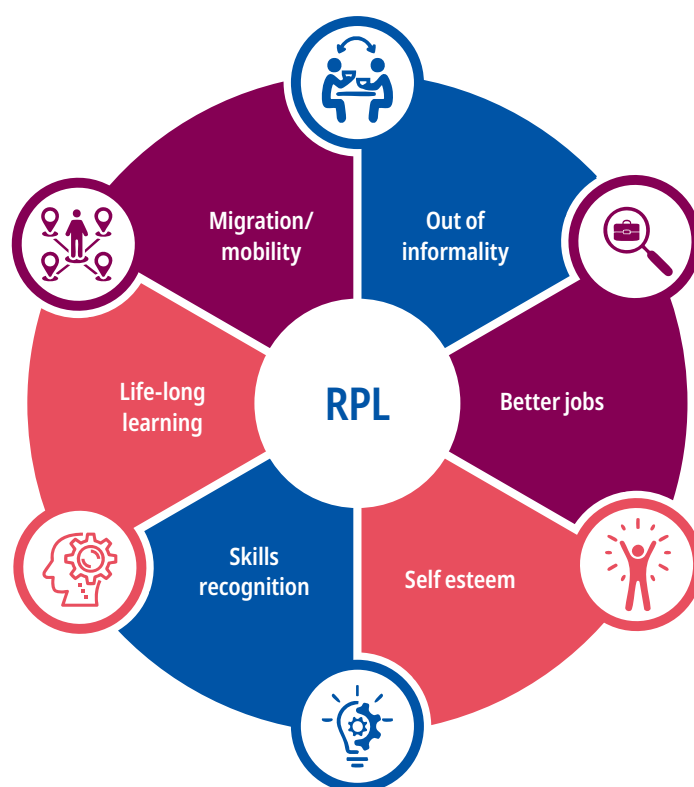
⁶ Werquin, Patrick, 2010. *Recognising Non-formal and Informal Learning: Outcomes, Policies and Practices*, OECD Publishing, Paris, 91 p., <https://doi.org/10.1787/9789264063853-en> https://www.oecd-ilibrary.org/education/recognising-non-formal-and-informal-learning_9789264063853-en

the formal economy, ultimately leading to better and more decent jobs.⁶ For countries where the informal economy is large, RPL needs to overcome recruitment based on hearsay and demonstrate the value of qualifications.

In sum, RPL benefits all people interested in having their skills certified, whether for access to jobs, career progression, access to education and training opportunities or to transition to a job in the formal economy. Workers in the informal economy and migrant workers, including forcibly displaced persons, often have most to gain. RPL also has the potential for providing successful applicants with larger benefits such as increased self-esteem and an increased sense of agency.

Finally, employers also benefit from RPL, as it allows employees to validate their existing skills toward a full or partial qualification. This reduces costs by enabling employers to tailor training provision to individual needs, rather than requiring employees to complete entire courses, saving both time and money. RPL can also help employers to gain a better understanding of their employees' skills and competences, so that they can be better matched to work tasks. It also serves as a tool to motivate employees, improving their well-being and engagement in the workplace. These various benefits are summarized in figure 1 below.

Figure 1: RPL Benefits



Source: ILO (2015)⁷

⁷ https://www.ilo.org/sites/default/files/wcmsp5/groups/public/@ed_emp/@ifp_skills/documents/publication/wcms_625895.pdf

► 1.3. Key stakeholders of RPL systems

RPL services are inherently shared, involving collaboration across multiple sectors and stakeholders to ensure effective implementation and broader societal impact (see also section 3 on the shared nature of RPL services).

The following list outlines the primary stakeholders who contribute to and are impacted by the RPL process:

- governments may provide the framework for RPL, drive the political agenda and determine the relevance of RPL and regulate the roles of other stakeholders involved in RPL;
- ministries responsible for certification and curriculum development. They will create or adapt standards and curricula, enabling assessment and selection of the right qualification for the candidate;
- adult learning centres and their respective staff, such as trainers and assessors. They can be private (for example, training centres), public (for example, the public employment service) or both. They are in charge of the information on RPL, offer guidance to applicants and carry out the RPL process, usually identifying, documenting and assessing skills;
- non-governmental organizations (NGOs) and donors. They will play a role in financing and assisting with implementation;
- employers are also involved in financing and assessment;
- employers' and workers' organizations, play an important role in system design, implementation, as well as monitoring and evaluation;
- individuals who are seeking recognition of prior learning are at the heart of the system.

► 1.4. Common challenges in RPL implementation

Most RPL implementation challenges are identical in the different regions. They are particularly present in the countries studied and are detailed below. There are other challenges that are more specific to each country, but they are not detailed here for the sake of brevity.

- **Long-term financing:** In many countries, such as Morocco and Tunisia, the cost of RPL has not been taken into account over the long-term. It seems necessary to anticipate the costs of generalizing the process following the pilots.
- **Government involvement:** Government support is very important to sustain the widespread introduction of RPL. It seems essential for the State to play an active role in implementing RPL. Some countries have begun to implement RPL thanks to the support (for example, financial, expertise) of NGOs, or international development partners. In Morocco and Tunisia, despite the deployment of initial pilot programmes, full-scale implementation has stalled due to a lack of sustained financial and political commitment from the governments.
- **Reaching remote workers.** In all countries, Technical and Vocational Education and Training (TVET) policies come up against the difficulty of reaching the most disadvantaged groups, including with RPL can serve as an effective tool to support these individuals (see section 2.2) but to successfully reach these audiences, it is important to invest in communication and deploy strategies tailored to their specific needs.

- **Mono-financing:** Some countries, such as Bangladesh, finance the RPL system with money from international organizations and NGOs. In the event of a subsidy cut-off or reduction, countries need to be able to anticipate and envisage alternative funding.
- **Quality assurance:** The quality of the system is essential if qualifications are to be recognized by the general public and employers.
- **Developing the reference framework for qualifications:** The RPL system relies on assessing the competences required for a given qualification, which means that a reference framework for each qualification is essential. This framework serves as the foundation for RPL implementation. Each country can then decide which qualifications are eligible for RPL. For example, in France, qualifications eligible for RPL must be registered with the *Répertoire national des certifications professionnelles* (RNCP). Certain qualifications, such as nursing, cannot be validated through RPL.
- **Ensuring the value and recognition of qualifications:** Importantly, when a qualification can be awarded through RPL, its value and recognition in the labour market must be equivalent to those obtained through formal education and training systems. This requires RPL providers to be recognized by the formal sector to ensure the qualification's value is upheld. In some cases, specific economic sectors may have their own qualification systems that allow RPL, independent of the formal education system. The key factors here are: 1) the acceptance of the RPL qualification by the relevant industry, ensuring it has value for both the individual and the labour market and 2) the alignment of RPL qualifications with formal systems if the learning outcomes are equivalent.
- **Working in parallel with a qualifications framework:** The challenge with implementing National Qualifications Frameworks (NQFs) is that they may result in RPL being predated by formal qualifications, thus potentially not meeting the actual needs of the labour market or reproducing the same biases as the existing educational systems. While a qualifications framework is often seen as the natural companion to the RPL system, it is not a sufficient or necessary condition. RPL systems have long predated qualifications frameworks, sometimes by as much as 50 years. And while qualification frameworks can help ensure equivalence of RPL qualifications and provide pathways to further learning, they might also limit the value of RPL and its usefulness for labour markets, perpetuating existing inequalities from the education system. In France, for example, the concept of recognizing professional experience through official certification first emerged in 1934 with the awarding of the graduate engineer title, long before the creation of the RNCP in 1969. In Canada, RPL has been implemented across various sectors, institutions and government-sponsored programmes at the federal, provincial and community levels since the 1970s, despite the absence of a national qualifications framework.

▶ Assessing the costs of an RPL system



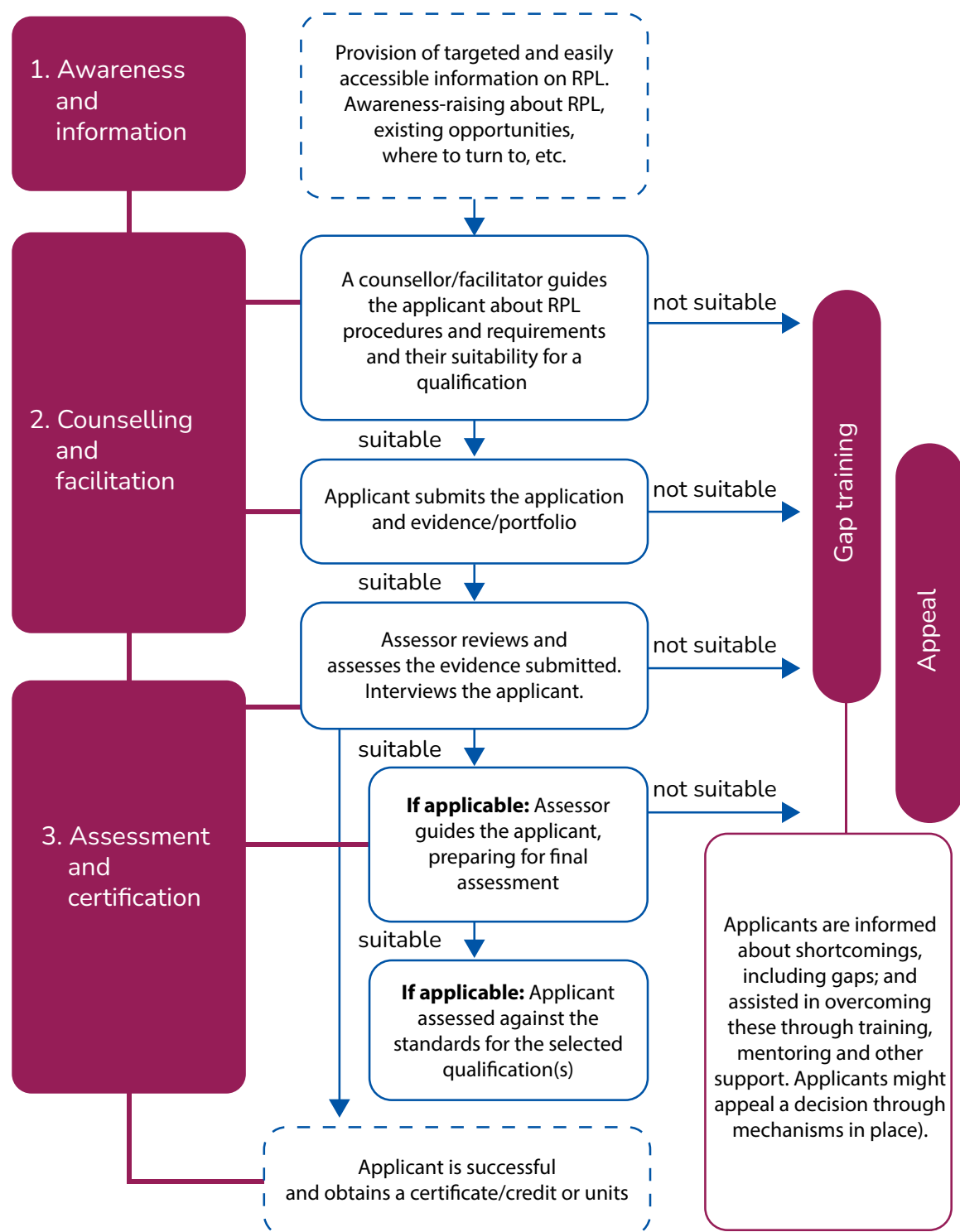
The shared nature of RPL services across different institutions makes it challenging to fully trace the associated costs and funding. Information on the costs is often scarce, and the lack of comprehensive evidence hampers efforts to conduct cost-benefit analyses. While RPL funding can be understood within specific, well-defined contexts, the overall picture at the national, regional or local levels remains complex. Yet, a detailed understanding of costs is essential for revealing potential efficiency gains from RPL, as well as for providing a basis for advocacy and policy development.

This section seeks to fill these knowledge gaps by drawing on evidence from six country case studies and examples across the world. It analyses the various costs associated with RPL, categorizing them into direct costs, support costs and opportunity costs. The cost model proposed here breaks down the RPL process into manageable components, allowing for detailed measurement and analysis of costs at the level of individual activities. This framework will assist stakeholders in understanding the financial implications of implementing RPL, both in terms of the direct costs of facilitating the process and the support costs involved in establishing and maintaining the overall system. It aims to equip policymakers and practitioners with the tools to estimate and manage these costs, enabling more informed decisions about cost-sharing and funding allocation. Ultimately, this model supports strategic planning for scalability and promotes the long-term sustainability of RPL systems.

The analysis covers key stages of the RPL process (see figure 2), including awareness and information dissemination, guidance and facilitation, assessment and certification, and addressing skills gaps. Additionally, it addresses critical system building blocks identified by the ILO (2015)⁸, such as regulatory and institutional frameworks, social dialogue and stakeholder engagement, as well as quality assurance. For each component, the primary cost elements are identified, analysed and cost-saving measures are suggested.

⁸ Aggarwal, A. 2015. Recognition of prior learning: Key success factors and the building blocks of an effective system. International Labour Organization. - Pretoria: ILO, 2015

Figure 2. RPL Process – a generic flowchart⁹



⁹ ILO, 2018. Recognition of Prior Learning (RPL): Learning Package; International Labour Office, Skills and Employability Branch / Employment Policy Department. - Geneva: ILO, 2018

To facilitate understanding of the cost analysis, several key considerations are important to note. The costs identified in this section do not always translate into direct expenditures. Many of these elements could be covered by existing resources or through enhanced capacity within institutions, reducing the need for new financial outlays. Understanding this distinction between theoretical costs and actual expenditure is critical to fully assessing the financial impact of an RPL system.

Costs are categorized as either fixed – remaining constant regardless of the number of candidates – or variable, changing with the scale of operations. However, as the RPL system scales up, this distinction can become blurred. For instance, while a coordinator’s salary may remain a fixed cost, increasing the number of assessments might necessitate hiring additional assessors and administrative staff, making staffing a mixed cost that fluctuates based on capacity and demand. Therefore, in these guidelines, staff time is treated as either fixed or mixed, depending on the situation.

Finally, while this cost model offers a high level of detail, it acknowledges that some assumptions must be made and that contextual factors may affect cost estimates. Nevertheless, this framework serves as a foundation for more accurate cost identification, helping stakeholders make informed decisions and advocate for efficient and equitable RPL systems.

► 2.1. Direct costs: Implementing the RPL process

2.1.1. Awareness and information

RPL on a large scale is a relatively new and still evolving concept in most parts of the world. Many stakeholders and potential beneficiaries are unaware of the opportunities that it offers in terms of outcomes, process and benefits.

Without sound investments to raise awareness and disseminate information about RPL, potential candidates might not know about opportunities to have their skills assessed and certified. Increased costs may also arise down the line. For instance, an RPL pilot in Kenya revealed that the budget to implement communication initiatives had been inadequate. Consequently, RPL personnel had to spend time raising awareness during the screening phase instead of providing workers with detailed guidance and counselling for subsequent stages, which should have been their principal role.¹⁰

High investment may be needed if the RPL system is in its early days to foster trust and credibility in the system, encouraging more candidates and enterprises to participate. Over time, as RPL’s reputation grows and the process becomes more widely known and understood, these costs will decrease.

Identification of cost elements



Information and awareness-raising are different from guidance and counselling (described in the next subsection). The aim here is to inform potential candidates about opportunities, how to access them and to encourage them to register or find out more about the process by highlighting the various advantages of RPL.

¹⁰ Kenya National Qualifications Authority (KNQA), 2023. Extended RPL piloting report.

More specifically, the content of the messages, while varying from case to case, should at least cover the basic following questions: What is RPL? Who offers this service and whom can I contact? What are the requirements for me to participate in RPL? How much does it cost? When, where and how can I apply? Why should I apply? Different arguments to answer the “Why?” may be required depending on the target audience. The various benefits of RPL for different stakeholders are highlighted in section 2.2.

Once the target audience and the message content are defined, the choice of communication supports and channels should ensure the information is easily accessible and reaches the target audience. For communities with different languages, translation should be used systematically to ensure broad comprehension. For instance, during the pilot phase of RPL implementation in Bangladesh, communication materials were initially created in English, which excluded many Bengali speakers from accessing the same level of information about RPL as English speakers.

It is essential to use diverse and appropriate channels and involve different stakeholders, including national and local media. Activities that would incur costs can include (but not limited to):



Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Media planning and outreach	Developing media targets, key messages and engaging with media	Staff time Communication tools	Hourly rate Time Number of actors Frequency Communication tool costs	Fixed	
Creating communication materials	Producing brochures, videos, presentations and other promotional materials	Staff time Printer Videographer Designer	Hourly rate Time Number of actors Frequency Number of languages Production, design and/or printing costs	Mostly variable (externalized)	For materials that need frequent updating, treat them as variable costs
Offering information through a website and/ or social media account	Developing, publishing and updating content on the website and/ or social media account	Staff time Website Social media account(s) Designer	Hourly rate Time Number of actors Frequency Number of languages Website hosting fees	Fixed	
Setting up information events	Providing information on RPL at events (in-person or online) that can be generic (ex: job fair) or specific (ex: information sessions)	Staff time Supplies Transport	Hourly rate Time Number of actors Frequency Travel costs Supplies costs	Mostly variable	Costs vary with the number of events, attendees and venues
Mailing and messaging to potential candidates	Sending information via mail, text message or WhatsApp (depending on the local context)	Staff time Mailing services and/ or messaging services Contact list	Hourly rate Time Number of actors Frequency	Fixed	

Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Documenting success stories	Documenting success stories of former RPL candidates	Staff time Videographer Writer	Hourly rate Time Number of actors Number of stories Number of languages Production costs	Mostly variable (externalized)	
Media coverage (free and paid)	Securing media coverage through television, radio, print and social media	Staff time Media contacts	Hourly rate Time Number of actors Frequency Ad space costs	Mostly variable (externalized)	
Media monitoring	Tracking and analysing media coverage post-campaign	Staff time Monitoring tools	Hourly rate Time Number of actors Frequency	Fixed	
Using feedback surveys	Designing and disseminating surveys on the effectiveness of communication channels and strategy	Staff time Printer and / or communication tools	Hourly rate Time Number of actors Frequency Printing and / or communication tool costs		

Cost-saving measures



There are several cost-saving strategies that can be considered for enhancing the effectiveness and reach of awareness and information campaigns while efficiently managing expenses:

01

Use feedback surveys: Surveying candidates at the start of the RPL process, asking how they learned about it and if they found the communication effective, identifying any information gaps they still face. This allows for the adaptation of the RPL process more effectively and ensure that the provided information meets candidates' needs.



02

Partner collaboration: Enhance outreach by partnering with organizations that have greater capacity or closer connections to the target audience (see case study 1 for an example).



03

Media outreach and training: Invest in media outreach and training to ensure that the right messages are being transmitted. Monitoring these efforts can help maintain message accuracy. For instance, Kenya implemented an award scheme for RPL reporting in partnership with the Media Council.



04

Reusable materials: Develop communication materials that can be reused, such as videos explaining the system, application processes and contact information for support. This reduces the need for repeated efforts and ensures consistent messaging.



05

Diverse success stories: Highlight diverse success stories to create role models and encourage participation from disadvantaged groups. Avoid perpetuating stereotypes, as breaking them down later can be more costly.



CASE STUDY 1**RPL in the South African insurance industry**

In South Africa's insurance industry, RPL is an essential process that acknowledges and recognizes the skills and knowledge professionals have gained through formal, non-formal and informal means. This approach is vital for enhancing career progression within the sector and ensuring regulatory compliance with the FAIS Act, No. 37 of 2002. This law was greeted with concern in the industry upon its introduction, as many financial advisers and enterprises were worried that failure to comply with the Fit and Proper Determination of the regulatory act would lead to significant job losses and income reduction in the insurance sector. The concept of RPL was not widely understood by the industry at the time, who were also unfamiliar with the National Qualifications Framework (NQF).

As part of a large-scale, industry-wide RPL project, a national awareness campaign was undertaken by the INSETA (Insurance Sector Education and Training Authority) to deliver a clear, simple message and minimize the widespread confusion surrounding the FAIS Act and RPL. The campaign was structured as a roadshow, consisting of a series of events held across the country to inform the public about RPL. In collaboration with industry stakeholders and industry professional bodies and members' associations, the campaign sought to:

- Provide general information about the FAIS Act for new entrants into the sector;
- Explain the Fit and Proper Determination and the concepts of the NQF, quality assurance and RPL;
- Introduce the RPL project and the processes of registration, learner support systems, the e-learning portal and the assessment process.

Special features of the awareness campaign are listed below:

- All the industry professional bodies and members' associations supported and participated in the roadshows.
- The roadshows were interactive, which provided opportunities for Q&A sessions. Reviews after the presentations by the project team identified frequently asked questions and decisions were made on ways to improve the communication.
- Print and radio media coverage was generated with support from respected industry and other national print media such as Personal Finance, the Financial Advisors News and the Financial Mail.
- Radio slots were booked with regional radio stations to extend the message to rural areas, in all provinces and in all South African languages.
- Brochures were printed and widely distributed at the roadshows and through the INSETA regional coordinators, company Skills Development Facilitators (SDFs), professional bodies and associations.

As a result of the campaign, the role of INSETA was clarified and information about the NQF, RPL assessment and credit accumulation and transfer of credits was provided. In January 2004, INSETA had 90,000 hits on its website, which was up from the 31,000 hits in December 2003. INSETA viewed this as an indication of the awareness campaign's success. Another success indicator was the unexpected 11,584 financial advisers enrolled for the first national assessment due at the end of March 2004 and the 5,000 financial advisers enrolling for the May 2004 RPL assessment.

2.1.2. Counselling and facilitation

The RPL methodology for assessing an individual's skills is complex, with different possible outcomes. Applicants require significant support and counselling before, during and after the various stages of the process.

This component of RPL is typically resource-intensive. Indeed, each candidate's prior learning journey is unique, necessitating tailored advice on gathering and presenting evidence to meet qualification standards. Different levels and types of awards or credentials (for example, certificates, diplomas, degrees) may vary in complexity, influencing the level and intensity of support needed per applicant.

Identification of cost elements



Before they formally apply, potential candidates must first determine their eligibility for RPL and receive detailed information about the process. RPL providers are responsible for outlining the qualifications and skills levels required, along with the associated costs, time frames, potential outcomes and advantages of pursuing RPL.

Although some of this information may have been conveyed during awareness campaigns, it is emphasized at this stage to provide more detailed and tailored guidance to applicants, given their varied sources of information. In Bangladesh, for example, most RPL candidates found out about RPL through friends and relatives, meaning that they may require further detailed information before entering the RPL process. Guidance can be offered one-on-one or in groups, either in person or online, depending on the context.

The role of RPL facilitators/counsellors is crucial in helping candidates to decide whether to apply for RPL, for which qualification and at what level, as well as how to utilize their newly acquired credentials if they are successful in the RPL process. Additionally, facilitators/counsellors guide candidates in understanding and gathering the necessary evidence for their application, such as employment records, testimonials, training certificates and work samples. This support is particularly valuable as applicants may possess the required credentials but not know how to effectively showcase their learning experiences from various contexts. Facilitators/counsellors work closely with candidates to explore these experiences, helping to translate learning outcomes into tangible proof that supports their RPL application.

Once collected, the supporting documentation is submitted along with an application form. RPL providers verify each application to ensure that all necessary information is compiled and can be reviewed for assessment according to established RPL criteria.

Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Screening of potential candidates	Conducting initial screening to assess eligibility for RPL	Transport and/or online portal, staff time	Hourly rate Time Number of actors Frequency Travel costs	Fixed/ variable based on capacity and demand	Can be organized at workplace, RPL centre or online (in which case the costs are mostly fixed)
Counselling of potential and successful candidates on the RPL process and outcomes	Providing detailed information and guidance about RPL procedures, requirements and outcomes to potential and successful candidates	Staff time Office space and/or online portal	Hourly rate Time Number of actors Frequency	Fixed/ variable based on capacity and demand	Staff needs to be trained RPL counsellors/ facilitators (see 3.2.2 Institutional Framework)
Collecting and submitting evidence and application	Gathering necessary evidence and completing the application form	Applicant time Transport and/or communication tools	Time Travel costs	Variable	These costs concern exclusively the applicants; although additional ongoing/ follow-up support by the RPL provider can also be budgeted
Verifying the application and evidence submitted	Reviewing and validating the submitted evidence and application	Staff time	Hourly rate Time Number of actors Frequency	Fixed/ variable based on capacity and demand	Staff needs to be trained RPL / facilitators (see 3.2.2 Institutional Framework)
Online portal set-up	Setting up a centralized online portal to support the counselling and facilitation process	External firm	Development fee	Fixed	One-time externalized cost
Online portal maintenance and IT support	Ongoing maintenance and IT support for the online portal	Staff time Software tools	Hourly rate Time Number of actors Frequency Software tools costs	Fixed	Staff needs to be trained IT staff

Cost-saving measures



01

Encourage prior self-assessment: RPL providers should enable candidates to carry out their own prior assessment before applying for RPL, which can be facilitated through online tools (see case study 2 for example). In so doing, it reduces the costs of guidance and counselling; the length of time that could be spent on evidence collection; the cost of screening and the possible costs of skills-gap training.



- **Use of existing guidance and counselling infrastructure and resources.** For stages of the RPL process that do not require the expertise of industry and regulatory experts, RPL providers can deploy their internal staff.
- **Standardize application and evidence formats:** Implementing a standardized format for applications and portfolios of evidence can streamline the application process. While this might shift some costs back to the applicants, it can lead to a more efficient and quicker evaluation process, thereby reducing overall costs.
- **Utilize remote counselling options:** Implement phone or video calls for counselling sessions to reduce travel costs and increase accessibility for candidates.
- **Leverage group sessions:** Where appropriate, conduct group counselling and facilitation sessions in addition to individual ones. This approach can efficiently disseminate common information to multiple candidates simultaneously, saving time and resources while still allowing for individual follow-up where necessary.

02

Online Resources and Tutorials: Create comprehensive online resources, including video tutorials, FAQs and step-by-step guides, to help candidates understand the RPL process and prepare their applications more independently.



03

Digitalization and e-RPL systems: RPL providers can develop online portals to enhance cost-efficiency at the counselling and facilitation stage. For example, the Skills 21 project in Bangladesh collaborated with the Bangladesh Technical and Education Board (BTEB) to digitalize the RPL process, including online submissions, assessments and feedback mechanisms. Initial evaluations suggest potential cost savings in administrative overheads and improved resource allocation.



CASE STUDY 2**Web-based self-assessment tool for RPL in Australia**

In Queensland, Australia, applicants first use a web-based self-assessment tool to match their skills to a relevant qualification (full or part). This takes about 10–15 minutes. Potential applicants are then provided with a list of preferred RPL providers where they can undergo the RPL process.

The online self-assessment checklist takes a user through the steps listed below, building knowledge about the process and matching their skills with a qualification (part or full):

- Introducing the benefits of RPL
- Selecting the qualification that is most suited to one's area of expertise from a list of approved qualifications
- Identifying one's skills against a list of competence groups and units of competence: for example, the website lists 11 competence groups for the qualification chosen in the previous step
- Matching one's skills with those of the qualification: the website does this automatically and lists the qualifications for which one's skills are a potential match
- Identifying and collecting evidence: the website provides guidance on the nature of evidence to be gathered as well as the types of evidence that are permissible
- Viewing RPL providers: Applicants can search for providers which offer RPL for their chosen qualifications.

The report generated can be printed and taken to the provider for discussion with an assessor, who will give more specific advice about the enrolment procedure and the evidence required.

2.1.3. Assessment and certification

Assessment and certification are the two most visible components of the RPL system. Both are visible guarantees of the success of the validation process.

Assessment verifies that all the documents collected correspond to the skills expected for the targeted qualification. The most common expected outcome of the assessment is a qualification. It can be a total qualification, a partial one or a microcertification. Alternatives are local certificates of labour market competences, including when provided by employers' or workers' associations, exemptions of academic prerequisite for access to formal education and training and/or shortening of a curriculum (exemption of part of the learning programme).

Assessing candidates' skills requires properly trained professionals and knowledge of qualification levels. The jury (that is, panel of assessors) can be made up of several people from the private sector, education and RPL experts.

Identification of cost elements



As with the previous sections, assessment may require a permanent team and external contributors. Costs are therefore both variable and fixed. The budget for the RPL setup must include operating costs, accounting for both scenarios: assigning tasks to current staff and forming a new, dedicated team. For external contributors, costs will vary according to the tasks assigned to them.

Prior to the assessment, the members of the jury will familiarize themselves with all the documents provided by the candidate. During the assessment, the members of the jury will use tools developed specifically for the assessment, such as an assessment grid.

The assessment can take several different forms, including interviews, level tests and real-life situations. Some parts of the assessment can be carried out collectively and/or individually.

Assessment tools are regularly updated to adapt to any difficulties encountered by candidates. This may mean, for example, doing a situation simulation for a candidate who might be uncomfortable in a classroom setting. This updating is also necessary for candidates who take the assessment several times. The assessment requires a dedicated area with all the necessary equipment to cope with all situations.

Jury members are trained in the use of assessment tools and attend training courses to keep their knowledge of the skills expected for each certification up to date. This is even more important for jury members who come from the world of work.

Issuing certification entails administrative costs. It is necessary to register new graduates and issue their qualification.

Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Develop assessment methodologies	Development of assessment tests and analysis grids. Printing of documents	Staff Time Printing	Hourly rate Time Number of actors Frequency Printing costs	Fixed	
Training of assessors	Train all the assessors on the assessment process Maintain the knowledge of assessors	Trainers Online portal	Travel costs Hourly rate Time Number of actors Frequency Costs of training venue, equipment and materials	Variable	Can be organized at RPL centre or online

Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Development of Assessment methodology	Development of assessment and self-assessment tests and analysis grids. Printing of documents	Staff Time Printing		Fixed	
Travel expenses of the jury members and the candidate	The jury members and the candidate will have to travel to the assessment centres	Jury members	Travel costs Number of actors Frequency cost	Variable	
Review of the documents collected by the candidates	Analyse all the documents provided by the candidates	Staff time	Hourly rate Time Number of actors Frequency	Fixed/ variable based on capacity and demand	
Assessment of the candidate	Interviews, simulations, deliberations	Staff time Assessor time Applicant time	Hourly rate Time Number of actors Frequency	Fixed/ variable based on capacity and demand	
Assessment venues	Room rental in RPL-certified adult education centres or workplaces and payment to the company for workplace assessment	Network of partners	Hourly rate Time Number of actors Frequency	Fixed/ variable based on capacity and demand	
Materials for simulations	Purchase of raw materials for conducting assessments	Staff time External suppliers	Materials costs Number of actors Frequency	Variable	
Certification	Registration and printing of certifications	Staff time	Hourly rate Time Number of actors Frequency Official printing of qualifications	Fixed	

Cost-saving measures



01 A mobile assessment team:

This model involves training a permanent team of assessors who can travel throughout the territory to conduct assessments.



02 Develop assessment centres with jury members throughout the territory:

Create certified centres for assessments in strategic locations across the territory. This reduces travel expenses for both jury members and candidates.



03 Partnership with training centres: This arrangement offers a dual advantage: the RPL program can utilize on-site equipment, while the training centre gains an additional source of income.



04 Assessment at the candidates' workplaces: An assessment at the candidate's place of work may be a solution. This allows to make use of the equipment and materials on site. A separate room should be made available to carry out the rest of the assessment if necessary. This can be part of a partnership with the private sector.



CASE STUDY 3

The assessment process in Australia

The assessment system in Australia differs somewhat from what is often used in other RPL systems. It is important to point out that RPL is practiced at national level, but each administrative department uses its own RPL system. All providers' processes are supervised by Australian Skills Quality Authority (ASQA) who require that the principles of assessment and rules of evidence are applied. The cost to the candidate varies according to where they live, the microcertificate or certificate they wish to achieve, and whether they are one of the target groups to be financially assisted by the state.

What is special about Australia is that there is no identical procedure at national level. The assessment process is entirely managed by the private and public providers, who are totally autonomous. There are three stages: eligibility, collection of evidence by candidates and then assessment, which takes place over a period of time that is specific to each application.

Candidates undergo an eligibility process whereby they are gauged as likely to meet the requirements of the unit/s and this usually involves a self-assessment. Some departments have developed an online platform for self-assessment. For other departments and for target audiences such as migrant workers, people with no internet connection or those who are illiterate, this stage can be carried out face-to-face.

The second stage, evidence gathering, is common to all countries involved in RPL. The third stage, on the other hand, is highly specific. In Australia, candidates are supervised by an assessor who accompanies them throughout the process, right up to the assessment. There is no final assessment in front of a jury.

Each assessor can use the tools they wish, and there is no set assessment time. This may involve, for example, analysis of documents provided by the candidate, a visit to the candidate's workplace to observe him or her perform his or her tasks or an interview with the candidate's superior. Costs will therefore vary according to the procedure chosen by the assessor.

2.1.4. Addressing skills gaps

Feedback by assessors on candidates' shortcomings during the RPL process helps them identify and address the gap between their skills and qualification standards. Many individuals require some form of additional knowledge and skills to meet prescribed standards.

In some contexts (Brazil, Colombia, Tanzania, South Africa, Bangladesh), upskilling is a central objective of RPL to help candidates obtain qualifications and raise skills standards in certain industries (top-up training). In other places, RPL may focus solely on testing current skills without emphasizing upskilling.

Regardless of the approach, it is important to consider the costs of options to address skills gaps. Indeed, RPL candidates seeking to upgrade or acquire new skills often face challenges, as education and training systems may lack the capacity and flexibility to develop and deliver customized programmes that meet their needs.

Identification of cost elements



The training design for upskilling programmes should be based on candidate's skills gaps identified either before or during the RPL assessment. For example, the Vocational Education and Training Authority (VETA) in Tanzania targets apprentices in the informal sector through RPL. Before receiving their award, successful candidates participate in free short-term skills upgrading courses offered during the summer, aimed at supplementing their practical skills with theoretical knowledge and core skills.

While training curricula may be available to address gaps related to specific competence units of a qualification, they often require adaptation to fit the needs of RPL candidates. Delivery of training should consider the participant profile, including learning preferences, appropriate training methods for the skills in question (for example, work-based learning, online learning), training schedules (some RPL candidates are full-time workers) and resources and logistics.

Costing these activities involves accounting for the development and customization of training materials, instructor fees, venue costs for in-person training, and digital infrastructure for virtual training programmes.

Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Preparation of training plans	Adapting existing curricula or creating new ones to address the specific training needs of RPL candidates identified during the counselling or assessment phase	Staff time (at least a training and a subject matter expert)	Hourly rate Time Number of actors Frequency	Fixed/variable based on capacity and demand	

Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Delivery of in-person training programmes	Conducting face-to-face training sessions (lectures, workshops, practical exercises and/ or hands-on training)	Trainers/ instructors Training venue, equipment and materials Administrative support	Hourly rate Time Number of actors Frequency Costs of training venue, equipment and materials Travel costs	Variable	
Delivery of virtual training programmes	Using online platforms to deliver training modules, webinars and virtual workshops	E-learning platform Digital training materials IT support Internet access Trainers/ instructors for live sessions	Subscription or development costs for e-learning platform Hourly rate Time Number of actors Frequency Software licensing Internet data costs	Fixed initial platform subscription/ creation costs, variable training costs	

Cost-saving measures



01

Flexible qualification pathways reduce costs by allowing RPL candidates to pursue targeted, relevant learning opportunities that directly address specific skill gaps in the form of modules, credits or microcredentials that are stated as learning outcomes. This approach minimizes the need for extensive and costly training programmes by focusing on essential competences rather than rigid, one-size-fits-all qualification routes. To enable this flexibility, qualifications must be clearly described in terms of learning outcomes, with provisions for creating modules, credits or microcredentials that allow for customized learning paths. By building on existing knowledge and skills, providers can streamline the upskilling process, reduce time spent in training and lower overall expenditure on education. Furthermore, this flexibility often leads to higher completion rates, making the entire process more resource-efficient and cost-effective.



02

Flexible Delivery Schedules: The RPL system should promote flexible skills upgrading opportunities for candidates. Training institutes can offer RPL programmes during weekends and evenings, optimizing the use of existing infrastructure. This approach reduces the cost of training and accommodates employed RPL candidates. For example, India's Skills Development Initiative (SDI) has successfully implemented this strategy, training over one million individuals between 2007 and 2012.



03

Blended Learning: Implementing blended learning approaches can be cost-effective. E-learning modules can cover theoretical knowledge, while in-person sessions can focus on practical skills. This method reduces the need for extensive in-person training facilities and allows candidates to learn at their own pace online.



04

Partnerships with enterprises: Establishing partnerships with enterprises for the development of specific skills can lower training costs. Enterprises can provide resources, facilities and expertise for on-the-job training, reducing the burden on educational institutions and ensuring the training is relevant to industry needs.



05

Leveraging existing curricula: Where possible, using and adapting existing training curricula can save costs associated with developing new content from scratch. This ensures that training materials are readily available and can be tailored to meet the specific needs of RPL candidates.



CASE STUDY 4

The Skills 21 Project in Bangladesh

In Bangladesh, RPL candidates can upskill both before and after the final assessment. Before assessment, upskilling programmes may help candidates fill gaps in knowledge or skills required for the qualification. After assessment, candidates may pursue further training to achieve additional skills or to meet higher qualification levels or to fill the gap in case they are partially qualified. These opportunities support continuous learning and skill development aligned with career goals.

Under the Skills 21 Project, a joint initiative of the Government of Bangladesh and the ILO, upskilling programmes are primarily delivered through in-person workshops or classes, with some options available online. Costs for upskilling programmes vary based on whether candidates undertake the full programme or specific units of competence. These costs are calculated proportionately to the extent of the upskilling required. Importantly, within the Skills 21 Project, upskilling costs specifically after final assessment have been factored into the RPL budget to ensure candidates have access to necessary training and development opportunities aligned with their assessment needs.

► 2.2. Support costs: setting up and maintaining the RPL system

2.2.1. Social dialogue and stakeholder engagement

Social dialogue between governments, employers' and workers' organizations, and wider stakeholder involvement is crucial for the successful implementation and sustainability of RPL – each one has a role to play in specific parts of the process. Communication between stakeholders is also a key factor in the long-term success of RPL.

There are social dialogue processes at national and sectoral level in all countries. Those existing frameworks should be used to get RPL on the agenda of social dialogue and to generate meaningful engagement of employers' and workers' organizations in the process.

Identification of cost elements



The costs involved in social dialogue and stakeholder engagement are not easily measurable. It is first and foremost a human cost.

Involving social partners and other stakeholders requires that everyone involved understands, gets involved and responds to their expectations and concerns, to ensure the successful design and implementation of RPL.

This translates into a personal investment in information and training about RPL. Time for sharing and negotiation is also needed to ensure that RPL meets everyone's needs and expectations.

These activities require communication with employers' and workers' organizations and other stakeholders, who then play a role in relaying and promoting RPL to their members and users.

Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Facilitation and coordination	Organizing and managing stakeholder engagement activities	Staff time Stakeholder time	Hourly rate Time Number of actors Frequency	Fixed	
Communication and outreach	Ensuring effective communication between stakeholders and raising awareness	Staff time Communication tools and materials	Hourly rate Time Number of actors Frequency Communication campaign	Variable and fixed Resource/ Fixed	

Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Capacity-building and training	Investments in enhancing stakeholders' ability to participate effectively in the RPL process	Trainers/ instructors Training venue Training materials Administrative support	Hourly rate Time Number of actors Frequency Costs of training venue, equipment and materials Travel costs	Fixed/variable based on capacity and demand	
Meetings and events	Organizing face-to-face and/or virtual meetings to discuss system design, implementation, monitoring, and evaluation	Staff time Meeting venues	Hourly rate Time Number of actors Frequency Travel costs Cost of meeting venues	Fixed	
Consultation and feedback mechanisms	Gathering and processing stakeholder input	Staff time Administrative surveys	Hourly rate Time Number of actors Frequency	Fixed	

Cost-saving measures



01

Choice of business sector: As a first step, it seems worthwhile to identify and mobilize an industry whose stakeholders are already working together. In some countries, sector skills bodies are involved in facilitating social dialogue at sectoral level on RPL set-up. These mechanisms help save time and money in scaling up RPL systems by generating consensus on standards, streamlining processes and fostering collaboration between key actors



02

Build networks: Creating networks of centres, practitioners or relevant stakeholders will help to improve the system and better control the costs associated with stakeholder engagement.



CASE STUDY 6**Challenges with scaling up RPL in Tunisia**

The example of Tunisia is presented here to highlight the need to involve all stakeholders. Tunisia has been implementing RPL since 2005, with the very first pilots focusing on specific trades, with the help of the AFPA, and further capacity-building support in 2018/19 through ILO.

Stakeholders involved in the implementation of RPL, such as the Ministry of Education, social partners and the private sector (in the sectors covered by the pilots), were mobilized around the small-scale implementation of RPL. With the support of international organizations, meetings were held to explain the benefits of RPL and communicate on the pilots. Stakeholders were mobilized within this framework.

All the tools needed to implement RPL were developed and with high standards of quality. Some pilots have been carried out. However, the RPL system is still not in its implementation phase due to a lack of political support at a time when Tunisia experienced a period of social and political transition. At the time of the drafting, it is not possible to enrol in an RPL process in Tunisia, despite the first pilots dating back to 2006.

To move forward with the RPL project, Tunisia needs better social engineering, which means that all stakeholders must be able to grasp the RPL issue and work together. Not all stakeholders were able to meet to understand the challenges of RPL and therefore move forward with its implementation. The issues of financing, cost and price of the RPL need to be addressed if RPL is to become widespread in the country.

2.2.2. Regulatory framework

A strong regulatory framework on RPL is important to ensure that the roles and responsibilities of stakeholders are clear and that processes are consistent across institutions. Consistency builds the credibility of the system and determines its success. Ultimately, a regulatory framework should support the following objectives of an RPL system:¹¹

- be an integral part of a country's education and training system
- promote alternative pathways to acquiring qualifications, by ensuring parity with formal education and training
- facilitate lifelong learning
- ensure stakeholder commitment and
- be sufficiently funded to ensure that the system works effectively and efficiently.

The development of a robust regulatory framework can be an incremental process, allowing for gradual expansion and refinement over time. The costs associated with developing this framework will largely depend on several factors, including the scope of RPL coverage and the extent of stakeholder consultations required.

¹¹ 2018. ILO. Recognition of Prior Learning (RPL): Learning Package; International Labour Office, Skills and Employability Branch / Employment Policy Department.

Identification of cost elements



There are various approaches to regulating RPL. In some cases, the regulatory framework takes the form of a standalone, overarching RPL policy. For example, the National Policy for the Implementation of RPL in South Africa, 2013, assigns the South African Qualifications Authority (SAQA) the responsibility for RPL implementation and quality assurance and enables RPL to be applied throughout the National Qualifications Framework (NQF).

Where qualifications frameworks exist, they can help promote RPL as an alternative pathway to a qualification. However, the presence of an NQF is not a prerequisite for effective RPL implementation. Countries like India and Tanzania have successfully implemented large-scale RPL initiatives to formally recognize the skills of informal economy workers without an NQF. What is important is that qualifications are defined in terms of learning outcomes (and not based on inputs such as learning time). Otherwise, assessment is impossible to organize because typical RPL applicants did not follow any formally organized learning programme: what can be seen and therefore assessed, is only what they know and can do.

A strategic first step is to define the sectors (for example, TVET, higher education) and target groups that the RPL system should prioritize. This approach can inform the integration of RPL into relevant social, economic, development or migration policies to secure adequate funding for achieving its objectives and the development of implementation guidelines and standards. If appropriate, RPL regulation should be harmonized with regional and local regulations.

The active participation of government, industry and educational institutions is essential in developing and supporting this framework. This collaboration can be formalized or more adaptive depending on the context. In Kenya, a technical team comprising representatives from regulatory bodies, education and training providers, employers and industry associations was set up to coordinate the development of key documents and tools, including:

- RPL policy framework
- Guideline for the implementation of RPL
- National standards for RPL
- RPL assessment tools
- RPL application tools
- RPL guide for candidates
- RPL appeal guide
- RPL personnel's code of conduct
- Guide for RPL Qualification Awarding Institution (QAI)
- Guide for Assessment centres
- Guide for regulatory bodies

Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Needs analysis	Identify and analyse sectors /occupations where RPL can be effectively implemented	Staff time/ consultancy services Data collection tools	Hourly rate Time Number of actors Frequency Number of sectors	Mostly variable	
Integrate RPL into employment, education and/ or training policies	Embedding RPL within broader policy frameworks to ensure alignment and support	Technical team (for drafting and revisions) Stakeholder consultations	Hourly rate Time Number of actors Frequency	Fixed	
Integrate RPL into qualifications systems	Recognizing RPL as a pathway to obtaining qualifications within existing systems	Technical team (for drafting and revisions) Consultations with educational bodies	Hourly rate Time Number of actors Frequency	Fixed	
Integrate RPL into relevant sectoral, economic and development policies, including migration policy	Ensuring RPL supports sector-specific, economic and developmental goals	Technical team (for drafting and revisions) Stakeholder consultations	Hourly rate Time Number of actors Frequency	Fixed	
Develop specific RPL policies, tools and instruments	Create a dedicated policy framework for RPL to provide clear guidelines and objectives	Technical team (for drafting and revisions) Stakeholder consultations	Hourly rate Time Number of actors Frequency (review cycles)	Fixed/ variable based on capacity and demand	
Develop and/ or validate standards used for RPL with stakeholders	Developing standards for RPL processes and ensuring the buy-in of relevant stakeholders	Technical team (for drafting and revisions) Stakeholder consultations	Hourly rate Time Number of actors Frequency	Fixed	

Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Adjustment of existing information systems	Revising existing procedures and training administrative agents to ensure effective referrals and communication across services	Staff time Training materials Administrative support	Hourly rate Time Number of actors Frequency	Fixed	
Synchronize national regulation with regional or local regulation	Ensure that national RPL regulations are in harmony with regional and local regulations	Technical team (for drafting and revisions) Stakeholder consultations	Hourly rate Time Number of actors Frequency	Fixed	

Cost-saving measures



01

Implement pilots to inform the regulatory frameworks: Conducting pilot programmes before fully implementing the RPL process can help tailor the regulatory framework to local needs and conditions. For instance, in Colombia, the RPL operating model was built through testing during successive pilot programmes. In 2021, 797 persons were assessed in five occupational qualifications. Following the adoption of a ministerial decree on RPL, an additional 110 women in three occupations were assessed in 2022.



02

Prioritize sectors and qualifications with immediate demand. This will maximize the impact and cost-effectiveness of RPL. In Mauritania, for example, six occupations were selected for a pilot programme on RPL by a group of tripartite representatives. These sectors, including construction and fishing, were chosen due to their large workforce and high proportion of informal economy workers without qualifications.



03

Implement flexible documentation requirements: Introduce alternative methods of proof for forcibly displaced persons and other candidates who may lack formal documentation. This reduces administrative burdens and costs associated with verifying hard-to-obtain credentials while maintaining the integrity of the RPL process.



2.2.3. Institutional framework

A clearly defined and functional institutional framework is critical for the success of an RPL system. Effective implementation starts by leveraging and strengthening existing institutions, structures and resources, rather than building entirely new systems from scratch. Institutions tasked with the planning, implementation and management of RPL have the responsibility to operationalize the provisions of the RPL regulatory framework and coordinate with other relevant stakeholders.

Trust in RPL depends on the front-line personnel and professionals directly involved with candidates – strengthening their capacity requires ongoing investment to maintain quality over time. Even countries with a good recognition system have expressed their inability to rapidly scale up RPL due to lack of competent staff and/or facilities.

Identification of cost elements



In most RPL systems, overall responsibility for implementation is assigned to one authority. Depending on the regulatory framework, this body may be an existing public institution (for example, Ministry of Labour in Colombia, Bangladesh Technical Education Board, Kenya National Qualifications Authority...) or a professional or sectoral body covering RPL (for example, the Nursing and Midwifery Council in the UK).

Administrative costs incurred by this authority in coordinating RPL implementation will vary according to the size and scope of the RPL system, the complexity of the processes involved and the specific needs of the regulating authority.

Under the coordination of the recognition authority, countries then often establish a series of “recognition providers” responsible for RPL. These may include:

- professional bodies that assess and recognize qualifications in their field of expertise
- employers’ representatives
- industry councils
- training providers and boards
- regional/local authorities

RPL personnel usually combine their duties with other functions, for example in guidance, teaching and training and/or work-management. However, RPL involves distinct procedures, tools and methods that differ from standard assessments used in formal education and training. It also requires a specialized approach to guidance and counselling, as candidates typically come from outside the education and training environment.

Therefore, RPL professionals should be equipped with skills relevant to the different stages of the RPL process. In Colombia for example, assessors are trained through general modules covering the national qualifications framework and the RPL process, as well as specific modules focused on counselling approaches and assessment methods. Personnel in Bangladesh and Kenya receive additional training on the e-RPL platform used at all stages.

It is essential to carry out an analysis of existing institutional capacity in the first place, as well as future capacity needs, to identify and address gaps that could affect implementation.

Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Coordinating RPL implementation	Administrative costs incurred by RPL institutions in coordinating the process and allocating resources	Office space Staff	Office set up costs Staff salaries	Fixed	
Capacity assessment of RPL providers	Assessing the current capacity and identifying gaps	Assessment tools Consultants Staff time	Hourly rate Time Number of actors Frequency Consultancy fees	Mostly variable (externalized)	
Strengthening of human resources	Training and professional development for staff (administrators, counsellors, assessors and trainers)	Training programmes Trainers Staff time	Hourly rate Time Number of actors Frequency, Costs of training venue, equipment and materials	Fixed/ variable based on capacity and demand	
Infrastructure development	Developing physical and digital infrastructure	IT systems, physical spaces, accessibility tools	IT setup costs, maintenance, accessibility improvements	Fixed	

Cost-saving measures



01 Leverage existing infrastructure: Utilize existing educational institutions, training centres and facilities to conduct RPL assessments and training programmes, reducing the need for new infrastructure.



02 Capacity building through training of trainers: Train a select group of experts who can then train others within or outside the institution. This approach can multiply the impact of initial investments in capacity-building.



03 Peer learning and best practices: Encourage peer learning among institutions (including in other countries) to share best practices and successful strategies. This exchange can help institutions learn from each other's experiences and avoid costly mistakes.



2.2.4. Quality assurance

Setting up a quality assurance system will ensure the successful implementation and long-term future of RPL.

RPL is a new way of obtaining a qualification, which can be misunderstood by stakeholders. Setting up a quality assurance system will help reinforce confidence in the qualifications thus obtained.

All stages of the RPL process must be thought through and adopted in such a way as to ensure that:

- The procedure is accessible to everyone,
- The procedure is standardized throughout the country or department (as in Australia), that is all players offer the same service,
- Professionals and RPL centres are certified as complying with the procedure.
- A monitoring and evaluation system tracks key performance indicators, collects regular feedback, assesses system progress and performance and makes adjustments if need be.

Quality assurance means continually evaluating and improving the RPL process to enhance its efficiency and effectiveness. This may involve regular assessments of the various stakeholders to be able to evaluate the system on a regular basis in order to maintain quality, including candidates.

Identification of cost elements



Investment in quality assurance for the procedure is essential and necessary. The associated costs are high and will vary over time. Right from the start of the RPL system project, you need to think about setting up quality standards that will be monitored and evaluated over time and modified if necessary to ensure that the system remains efficient.

At each stage of the procedure, the quality of the system will have to be questioned. To implement quality assurance, it is necessary to monitor and evaluate each stage and adapt them if required. To achieve this, it is necessary to develop the continuous professional skills of practitioners.

Quality assurance in the context of RPL requires data to be collected, analysed and transformed into usable information to ensure quality services. Collaborative work between the various stakeholders will be highly beneficial, so that all parties can make their contribution. To facilitate this, it can be important to rely on a regulatory framework. In the absence of such a framework, additional costs may be incurred in setting it up (3.2.1).

In order to guarantee a reassuring framework for users, strong communication around the reliability of the RPL system should be envisaged. To achieve this, well-trained personnel and accredited training centres are essential. Evaluation of the system by the candidates themselves will also provide qualitative and quantitative data that will enable RPL to be adapted to the socio-economic context.

Analysis of costs



Activity/ cost element	Description	Resources required	Cost parameters	Type of costs	Remarks
Creation of key performance indicators	Creating key performance indicators throughout RPL procedure	Staff time	Hourly rate Time Number of actors Frequency	Fixed	
Accreditation of RPL centres	Definitions of assessment criteria for RPL centre accreditation. Evaluation and renewal procedure	Staff time Centre time	Hourly rate Time Number of actors Frequency Protocol paper / send cost Guidance cost Visit control cost	Fixed	
Follow-up survey	Creation of a follow-up survey of people who have participated in RPL. Data administration and processing	Staff time Applicant time Analysis software	Hourly rate Time Number of actors Frequency Software licence Emailing/paper mailing cost	Fixed	
Monitoring and evaluation	Collection of key performance indicators Follow-up and evaluation of the RPL procedure	Staff time Social partner and other stakeholder time Analysis software	Hourly rate Time Number of actors Frequency	Fixed	

Cost-saving measures



01

Community of practice¹²: creation of an RPL platform or application for candidates to complete the follow-up survey.

- **E-training for RPL personnel:** deliver e-training to save money on room rental and trainers travel Linking the RPL quality system to the existing vocational training system: To save money, it is possible to link RPL quality assurance to the existing vocational training system. It will be necessary to add RPL-specific features in the quality system existing



¹² <https://www.cedefop.europa.eu/en/publications/6208>

► 2.3. Opportunity costs

2.3.1. Issues

Opportunity cost refers to the value of what is forgone when a choice is made. In the context of RPL, this involves two levels of analysis: (1) the opportunity costs (economic and non-economic) for individuals deciding whether to engage in RPL and (2) the national opportunity cost of creating and maintaining (or not maintaining) an RPL system.

The opportunity costs for individuals considering an RPL process are an important consideration, as potential applicants will inevitably factor them in. They may not be aware of the potential benefits and alternatives they forego when they choose to engage in RPL, but designing supportive policies is critical to try to balance the forgone benefits.

The first issue that comes to mind is the time investment by individuals. Time spent on RPL guidance, preparation and assessments could have been used for paid work. For individuals who must take time off from their jobs, this results in lost income. Individuals may also have to sacrifice personal or leisure time to complete their RPL process and related activities. For all individuals, especially for those uncertain if their knowledge and skills meet existing qualification standards, time and resources spent on RPL could have been used for pursuing additional education and training that would also lead to a qualification and also to new knowledge and skills, and (possibly) with a higher level of legitimacy because achieved in the formal education and training system. In all the cases above, individuals might delay accepting job offers or promotions if they are involved in an intensive RPL process.

After or together with, time costs, financial costs are critical because fees for enrolling in RPL could have been used for other personal or even occupational investments. If individuals need to borrow money to cover RPL expenses, they incur interest and potential debt, leading to additional stress and increased fear of failure. This is a thorny issue because the idea of providing RPL for free creates new issues such as lack of motivation and the feeling of investing time for a qualification that may not carry societal value and currency in the labour market.

In addition to the “economic” stress mentioned above, the RPL process may cause mental and emotional strain. The RPL process can be stressful, particularly because individuals can never be certain about the outcomes and tend to underestimate their actual knowledge and skills. In addition, RPL applicants are not used to assessment processes and they will necessarily face challenges in preparing the required evidence and documentation. The final result is uncertain and, in addition, there is a risk that even successful RPL applicants will not receive the desired recognition of their newly acquired qualification – there is evidence in several countries where RPL is not known and not widely accepted – meaning their investment of time and resources may not yield the expected benefits.

For all the reasons above, workers may see their work performance and family life negatively affected. Enrolling in an RPL process may reduce the time and energy individuals can dedicate to their current job, potentially impacting their performance and job security. In extreme cases, individuals might leave their current jobs to focus on RPL, facing a period of unemployment and financial instability. Unemployed people may find they have less energy (and less time) for job search activities. Time dedicated to RPL may come at the expense of spending time with family and friends, affecting personal relationships and social well-being. Individuals with caregiving responsibilities may need to find alternative care arrangements, leading to additional costs and logistical challenges.

Beyond the individual level, it is important to consider the national opportunity costs of establishing and maintaining an RPL system or conversely, the costs of not investing in one. Governments and policymakers

must weigh the potential economic and social gains from RPL against the investments required to develop, administer and promote the system. While the specific benefits will depend on the goals of each RPL system, governments can assess at least the following two indicators against the identified costs to evaluate their return on investment:

- **Enhanced economic participation:** By recognizing the skills of marginalized groups, such as migrant workers, informal workers or those with interrupted education, RPL can help integrate these individuals into the formal economy, contributing to higher employment rates and tax revenues.
- **Reduced public spending on education:** RPL allows individuals to bypass unnecessary portions of formal education, reducing the burden on public education and training systems. This can lower the cost of delivering qualifications and free up resources to be used elsewhere.

2.3.2. Mitigating opportunity costs

Mitigating opportunity costs for individuals is difficult because some of the risks – typically risk of underperforming in the RPL assessment process – are not necessarily real. Having said that, this also implies that several of these risks may be dispelled through an appropriate communication policy and individual guidance, backed up by concrete evidence that RPL leads to enhanced employment outcomes (provided through LMIS).

To reduce economic opportunity costs, policymakers and RPL providers can implement several supportive measures.

Offering flexible schedules and part-time options to accommodate working individuals, job seekers and all those with high demand for free time and/or family responsibilities is one of them. Financial support of all kinds (for example, direct grant or payment plan) is also clearly an option, especially for those at the bottom of the earning distribution, those delivering unpaid care work and/or those have to support a family. This approach is particularly recommended when well-off individuals are among the applicants, since the financial support could be means-tested and therefore be equitable. Worthy of note is that, in some countries for some potential RPL applicants, even a symbolic fee to enter the RPL process is sometimes a heavy burden on the family.

When RPL applicants are employees, encouraging their employers to support them through paid leave, financial contributions and flexible work arrangements is also an option. Organizing a positive rhetoric within enterprises is of paramount importance. As said above, providing a comprehensive information and guidance system is also essential, typically for ensuring that RPL qualifications are widely recognized in the society, valued by employers and have currency in the labour market. Offering clear guidance before, during and after the RPL process is key. Finally, elaborating a convincing and visible quality assurance system and maintaining high standards for RPL is critical.

► 2.4. Summary: costing checklist

This section provides a useful tool to identify and analyse relevant costs associated with RPL in different contexts as well as to apply effective cost-saving approaches for sustainable and effective implementation. Each stage of the RPL process requires careful consideration and strategic investment to ensure that candidates are well-informed, supported and adequately assessed throughout their RPL journey.

Equally important are the costs related to setting up and maintaining an RPL system. Establishing a robust institutional and regulatory framework, investing in capacity development, engaging social partners and other stakeholders through promotion and ensuring quality assurance are all fundamental elements that contribute to the long-term success of the RPL system. These elements are vital in building a system that is not only effective but also adaptable to evolving needs and expanding sectors.

By comprehensively understanding and planning for these costs, policymakers and stakeholders can allocate resources more efficiently, ensuring that the RPL system remains accessible, equitable and capable of recognizing diverse forms of prior learning. This holistic approach to cost assessment and management will ultimately support the goal of integrating RPL into broader educational and training systems, fostering lifelong learning and enhancing workforce development.

Table 1 (see below) can be used to estimate the total budget needed for RPL implementation over time, based on the cumulative costs identified throughout the section.

Year of implementation		Year 1	Year 2	Year 3	Year...
Number of candidates targeted					
RPL process implementation	Awareness and information				
	Counselling and facilitation				
	Assessment and certification				
	Upskilling				
RPL system set-up and maintenance	Regulatory framework				
	Institutional framework				
	Stakeholder engagement				
	Quality assurance				
Total budget					

The various costs associated with setting up and maintaining RPL systems can differ significantly based on the specific pathways through which these services are developed. Some RPL systems are designed to meet the needs of strategic occupations within key economic sectors, while others focus on integrating migrant workers, forcibly displaced persons or supporting national adult education initiatives. These differing approaches can have a profound impact on the financing strategies required to ensure both effective implementation and long-term sustainability. As the following case study of Colombia illustrates, understanding these distinct pathways is essential for tailoring financial models to the specific contexts in which RPL systems operate.

CASE STUDY 7

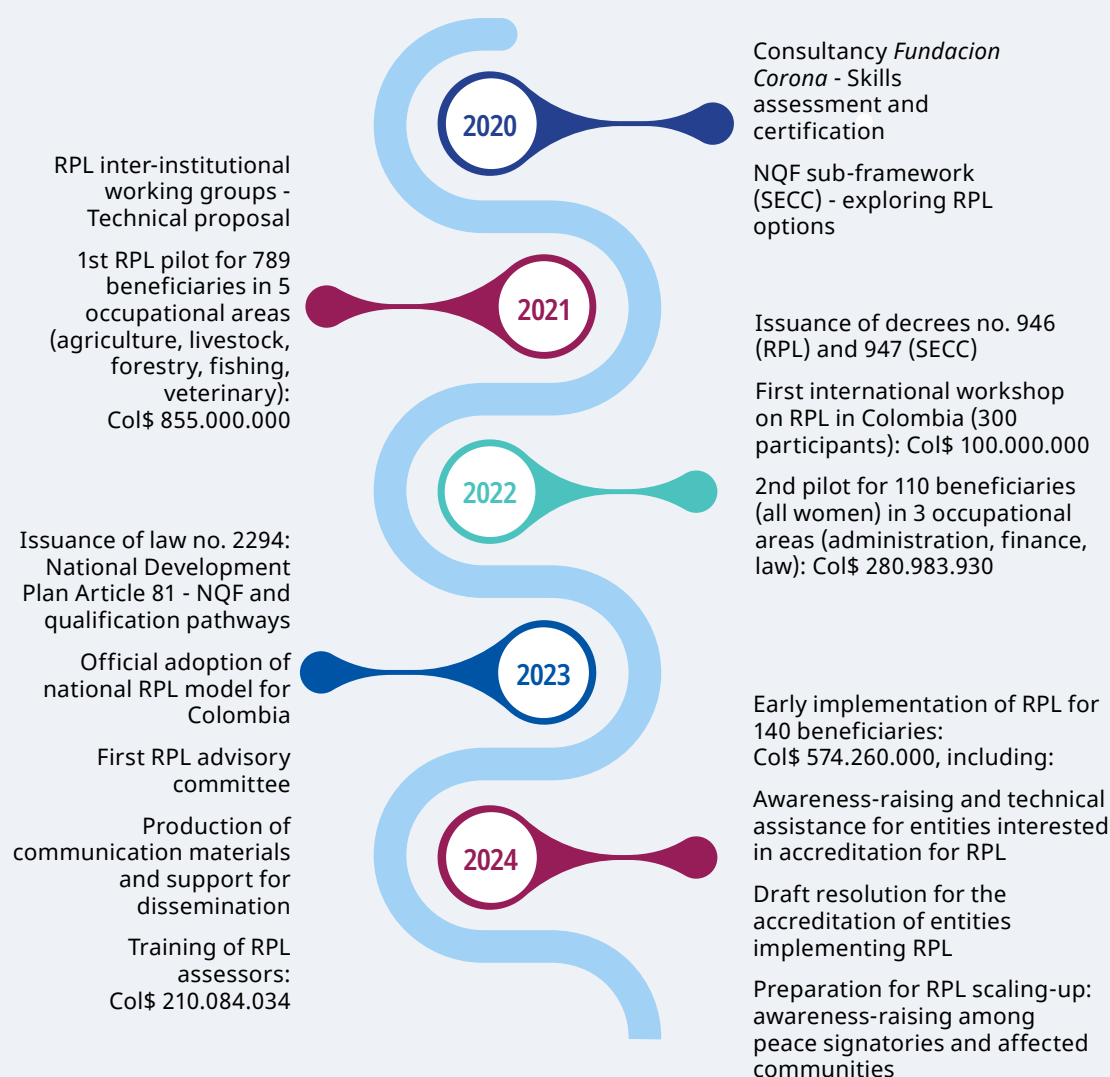
Setting up and scaling up RPL in Colombia

The primary objectives RPL in Colombia are to formalize learning acquired through life experiences, enabling individuals to access and move within the labour market and qualification pathways, both nationally and internationally, through the National Qualifications Framework (NQF). The initiative is aimed at workers, including those in the informal economy, the unemployed and young people without formal recognition of their skills.

The Ministry of Labour governs RPL efforts, supported by the tripartite Advisory Committee for RPL (CARAP), which provides guidance on the design, implementation and monitoring of RPL within the NQF.

The following graphic illustrates the key milestones in the development of the RPL system in Colombia, highlighting the year-on-year progress since its inception and the associated costs of several critical activities.

Figure 3: Key milestones in the development of the RPL system in Colombia



Several investments have already been identified for advancing RPL in Colombia, including:

- Development of didactic and audiovisual materials
- Advertising and promotion through media and social networks
- Use of artificial intelligence in designing assessment tools
- Organization of national and international events, publications and experience-sharing initiatives
- Strengthening the working team for RPL implementation
- However, Colombia faces important challenges to finance these investments and sustain RPL efforts in the future. So far, RPL has been primarily funded through two sources:
 - National resources: Focused on staffing costs and the production of communication materials.
 - InterAmerican Development Bank (IDB) loan resources: Used for specific activities, including pilot projects, international seminars, training of assessors and the RPL 2024 initiative.

While this dual-source funding model has enabled initial progress, questions remain about its long-term sustainability. The reliance on the IDB loan, which is set to end in 2026, raises concerns about how RPL activities will be maintained or expanded once external funding ceases. Moreover, with current national funding directed towards human resources, there is a need for a more diversified and sustainable financing strategy to ensure the continuous development and scaling of RPL initiatives in Colombia.

► **Designing financing
arrangements – Theory
and evidence**



Designing financial arrangements for RPL is often a priority for policymakers when establishing an RPL system because there is little hindsight from international experience, as the upscaling of RPL is rather recent in most countries. It is however critical for several reasons. An appropriate design of financial arrangements has the potential to have positive impacts on accessibility as well as on inclusivity – and therefore on take-up –, on sustainability and on equity.

It is critical for accessibility and inclusivity because financial barriers have proven an issue in many similar circumstances (for example, undertaking adult learning activities, enrolling in a qualification process in general). Lowering the costs of RPL for individual stakeholders – typically learners and enterprises – is therefore a specific objective to reduce the cost burden on them and therefore making RPL accessible to a broader population, including low-income groups and vulnerable populations. Another consideration, for increased accessibility and inclusivity, relates to flexible payment plans. Offering the options of paying with several deferred instalment, subsidies or voucher systems can help individual stakeholders afford the cost of RPL (section 3.2.3). Finally, increasing take up may not directly depend on the amount of money invested in RPL but rather on the way it is spent. Effective financial arrangements may be designed in a way to reach out to those who are the most in need for RPL – and may not be aware of this opportunity – because they do not have the financial means or are underrepresented, such as asylum seekers, forcibly displaced persons, migrant workers in general and those who constitute the typical target group of RPL, that is, those with no qualifications from the national formal education and training system.

It is critical for the sustainability of RPL programmes. Ensuring long-term viability means stable funding sources. This may be achieved by establishing reliable and diverse funding sources, including public, private and donor contributions. Again, experience suggests – especially for the pilot phase – that funding arrangements have been unsustainable when they relied only on international organizations and donors. In addition, careful planning in relation to financing RPL is necessary to help design cost-effective models. This means aiming for convincing results without spending too much money. In the case of RPL, cost-effectiveness is an important consideration as experience shows that countries have been more or less demanding in the final assessment process for example, with assessments ranging from a single day to an entire week. Sustainability may also be the consequence of continuous improvement which, in turn, relies on funding and quality assurance. Adequate funding allows for continuous improvement in the quality of RPL assessments, training of assessors and updating of standards. Finally, even if RPL may not need investment in infrastructure, these Guidelines aim at being comprehensive and therefore also touches on financial support, if necessary, for developing and maintaining the infrastructure required for developing and maintaining an RPL system. From this perspective, it is also interesting to learn from existing systems because different countries have different aims for building their RPL system, so resourcing it must be tailored to these specific goals. As stated on several occasions, specific RPL infrastructure may not be necessary if the RPL leaders are able to strike a deal with owner of existing facilities in order to piggyback on their facilities (for example, training centres whose facilities are not used in the evening or on Saturday morning).

It is critical for equity and social justice. Beyond the specific issue of accessibility, adequate financial arrangements can help address inequalities by providing support to disadvantaged groups, ensuring they have equal opportunities for success in the RPL process and not only equal access. RPL is also a powerful driver of social upward mobility, as it is accessible to populations most in need of a qualification or any related award (for example, credits, exemption for access, shortening of the curriculum). Beyond economic benefits, RPL has the potential for providing successful applicants with larger benefits such as increased self-esteem and increased sense of agency. Adequate financial arrangements are also critical for ensuring a fair assessment of all learning outcomes of all applicants. Experience suggests that assessments demand a thorough quality assured process and adequate funding helps with developing standardized assessment tools and practices, valid across entire countries for reliability, validity, fairness and consistency of the assessment process. Quality assurance is a strong predictor of legitimacy,

credibility and acceptance of RPL awards. It somewhat relies on the budget dedicated to quality assurance mechanisms.

It is critical to the consistency of the public policy in education and work. RPL is oftentimes introduced under the lifelong learning (LLL) umbrella. There are good reasons for that, considering the value of RPL as a stepping stone to further learning activities, whether formal or not. Nevertheless, without convincing funding mechanisms, RPL and LLL often remain parallel disconnected routes to qualifications. Not only adequate funding mechanisms may promote RPL as such but designing connections between resources for LLL and resources for RPL will create a multiplication effect because of multiplied opportunities, let alone the simplicity for end users when money available for LLL can also be used for RPL. Finally, RPL can promote a culture of lifelong learning, motivating individuals to continue updating and upgrading their skills.

Finally, designing financial arrangements, is critical for governance purposes. This design phase is indeed an opportunity to align national policy aims with one another. Too often several layers of policies are created over time and across sectors (for example, different sectors of the LLL system, education versus labour) and there is no consistency in the support to the implementation of different policies even when they work in the same directions (for example, qualification of the workforce, improved integration in the labour market, addressing the needs of the vulnerable groups). When adequately designed, financial arrangements for RPL can help align national education/training and employment policies and therefore boost the social and economic agenda of the country.

It is difficult to assess why some countries are successful in implementing RPL, but it seems quite clear that those who have a vision are more often successful. For instance, when the link between integration in the labour market, informal apprenticeship, informal learning, qualifications or other forms of award and all the components of a qualifications system (OECD 2007) are considered as a whole, countries are more successful because, among others, the buy-in by stakeholders is more rapid and more sustained.

In fact, it is difficult to disentangle whether effective governance requires adequate financing arrangements or whether it is the other way around. On one side the line of argument developed above pleads for the financial arrangement design phase being an opportunity to streamline governance. Nevertheless, it remains true that properly designed financial arrangements also require effective governance structures to ensure transparency, accountability and efficient use of the resources made available to RPL. In addition, well-structured financial arrangements can attract international donors and organizations to support RPL initiatives and use existing funds more effectively. Leveraging international aid is critical in a context where national resources are scarce.

► 3.1. Allocation mechanisms

In the process of designing RPL financing arrangements and optimal allocation mechanisms, the debate over demand-side versus supply-side funding inevitably arises. The issue revolves around the most effective way to allocate resources to ensure that RPL meets key criteria such as accessibility, inclusivity, high take up, sustainability, quality and equity.

The debate between demand-side and supply-side funding for RPL is critical because both approaches have pros and cons, and that they are not mutually exclusive. Therefore, the decision-making process is not about choosing one or the other but about the breakdown between the two. The ideal solution indeed often lies in a balanced, hybrid approach that leverages the strengths of both while addressing their weaknesses. The final decision has an impact on effective governance, robust policy frameworks and context-specific strategies, which are key to the success and sustainability of RPL.

3.1.1. Demand-side funding

Demand-side funding allocates resources directly to individual RPL applicants or to enterprises for them to send their employees to RPL.

When it comes to individual applicants, a direct fund allocation to them means they have the final word in deciding what to do (for example, qualification aimed, RPL provider chosen). This can include individual learning accounts, vouchers, grants or loans. The first advantage is that it provides the individual applicants with agency about the RPL process and their personal or professional aspirations. Individual learners can best select the RPL programme according to their needs, preferences and circumstances, leading to a more personalized RPL experience (for example, RPL for access to formal education as opposed to RPL for achieving a full-fledged qualification). There are advantages and disadvantages to individual demand-side funding. On the one hand, providers are incentivized to improve the quality of their services and innovate to attract more applicants. On the other hand, it can be a disadvantage because providers may use unfair approaches to promote their business (for example, misleading advertisement, fake maximization of number of clicks on platform for appearing first when using search engine). Demand-side funding is that it facilitates the targeting of groups that are at the top of the policy agenda. Combined with tailored support, this may in turn increase accessibility and access.

When it comes to enterprises who invest in RPL services for their employees, a direct fund allocation to them also means that they have a direct control of the qualifications that are targeted. It is clearly beneficial to them, both in terms of internal human resources management – as skills become fully visible and job matching easier – and for succeeding in attracting investors or bidding for more lucrative contracts (for example, public contracts). The benefit of RPL to the enterprise also comes from the fact that RPL helps in formalizing and valuing employees' existing skills, which enhances productivity and ensures the workforce meets industry standards and regulations. Enterprises are incentivized to pay for RPL services when the financing system is conducive to doing it, such as the countries where employers contribute to training levies (for example, Sub-Saharan Africa) because they can claim back funds or receive subsidies for sending their employees to RPL.

From the perspective of both individual learners and enterprises, demand-side funding offers flexibility, provided that it doesn't come with excessive rules. If the system remains relatively flexible, despite the direct funding as it were, individual applicants can use it at any accredited provider and for any qualification registered with the national qualifications framework.

Finally, demand-side funding is inherently demand-driven, meaning that the RPL system is resourced to respond to the actual needs of learners, potential RPL applicants and employers. This can be a challenge as there is no guarantee that individual learners know their needs and, if they do, which solutions will best address them. This can be easily addressed by imposing some sort of guidance – by RPL personnel – as part of the “contract” to receive an RPL grant. It is also a thorny issue for enterprises, which may prioritize short-term needs when they buy RPL services, potentially hindering progress towards broader goals for the sector, the region and even the country (for example, green and digital twin transitions). This can also be addressed by helping enterprises to identify their mid-term needs in addition to their short-term ones.

More difficult to control are disadvantages in terms of potential inequities. Indeed, only individuals and enterprises with access to adequate information are likely to apply for grants and buy into RPL, raising the ongoing debate about whether RPL truly addresses the needs of those most in need of skills visibility and recognition or the layer just above, that has access to the necessary information. The issue of reaching out to the neediest is a significant concern across all countries, whether they have an advanced RPL system or an embryonic one. Even among those individuals or enterprises that have access to resources, some

may have access to better information than others about the best RPL providers (for example, in term of achievement rates or quality of the assessment).

Demand-side funding may also prove complex to manage, creating a need for robust administrative systems. Finally, there is a risk that the money allocated to some individuals/enterprises is misused, especially if there is collusion between individual learners or enterprises and RPL providers. This highlights the need for effective monitoring and control mechanisms.

3.1.2. Supply-side funding

Supply-side funding allocates resources directly to RPL providers or institutions and organizations promoting RPL. Supply-side funding is therefore more about the provision of RPL services. Although enterprises may directly provide RPL services – this is happening on a small scale in France for example – to their own employees (for example, providing infrastructure and assessors), for the purpose of this document, enterprises are not considered to be on the supply-side, for the reasons provided above that they are mainly meant to buy RPL services.

The first advantage of supply-side funding is the consistency since RPL providers can maintain consistent standards and quality across their services, leading to reliable and credible RPL outcomes, therefore running less risks of creating major disappointments among RPL applicants and among enterprises hiring RPL graduates. Higher quality will also be achieved because sustained funding may help providers to plan their investments and therefore constantly invest in improving the services provided to RPL applicants (for example, infrastructure, staff). Capacity-building among the RPL providers is made easier in the case of supply-side funding.

Another advantage of supply-side funding is its simplicity. Indeed, direct funding to providers means there are a lot less stakeholders involved in the process and administration and control are easier. The risk of misuse is less present when only accredited institutions receive the funds.

As expected, the main disadvantages of supply-side funding fall on individuals. They have fewer choices, including in terms of RPL providers, which can reduce the personalized nature of RPL programmes. They may also be faced with providers not very motivated to improve the service they provide because they are in a monopolistic position in a given geographic area.

Finally, supply-side funding is not demand driven and so inherently less oriented towards the actual needs of learners and potential RPL applicants. In addition, funded providers may have to find solutions to cater for the needs of disadvantaged groups (for example, vulnerable groups or groups in remote geographical areas).

3.1.3. Combining demand-side and supply-side funding

As stated above, the debate between demand-side and supply-side funding revolves around the optimal balance in a particular context to maximize the benefits of the RPL system. Combining both funding mechanisms can indeed leverage the strengths of each approach while mitigating their weaknesses. For example, core funding can be provided to ensure quality and infrastructure (supply-side), while individuals grants can be provided to individual learners and/or enterprises to promote choice and competition (demand-side), as well as social inclusion.

The respective proportions of demand-side and supply-side funding should consider the specific context, including the maturity of the RPL system, the diversity of providers and the needs of the target population, along with the labour market demand and skills gaps. For instance, in a well-developed RPL system with many high-quality providers, demand-side funding might be more effective. In contrast, in emerging systems, supply-side funding could help build capacity and ensure quality.

In any case, effective policy and governance frameworks are essential to ensure that both funding mechanisms work effectively. This includes establishing clear rules for allocating funds and robust monitoring system for quality assurance, as well as providing guidance to RPL applicants to help them make informed decisions.

France is a good example of a combination of demand- and supply-side approaches. Indeed, on one side, the individual learning account (CPF) can be mobilized for individuals to directly receive credits that they can use for RPL, among others, on the ground that the government wants the individuals to be in charge of their future (personal choice and flexibility). On the other side, the Regional Councils and Employment Centres may direct funding to RPL centres to ensure consistent and high-quality services.

Box 4a. Individual learning account for funding RPL in France

France has had an individual right to training for twenty years; it was called DIF and then CPF (*Compte personnel de formation*). The recent developments regarding the CPF that is nothing else than an individual learning account (ILA) are of high interest from the point of view of funding RPL.

When the DIF became the CPF, in 2014, it was designed to promote continuous occupational development and lifelong learning. The CPF aims to provide individuals with the means to enhance their skills and qualifications throughout their careers. It is an individual right and it now concerns all individuals, even upskilling. Every individual accumulates monetary credit in their CPF account, which can be used to finance various education and training programmes. These rights are acquired based on their occupational activity, whether they are employees, job seekers or self-employed. As of 2019, the CPF is credited in euros rather than hours. Employees receive €500 Euros per year, up to a maximum of €5,000 Euros and low-skilled individuals and those with disabilities receive €800 per year, up to a maximum of €8,000. The CPF is available to all individuals aged 16 and above. One of the major recent breakthroughs is that it is portable: it remains valid even if the individual changes jobs or becomes unemployed.

In the context of these Guidelines, it is essential to note that:

- The CPF is RPL friendly (French Education Code, 2024, Art. L. 6323-6): It can be used to fund RPL – typically guidance for assessment – in addition to the usual education and training programmes. In short there is full fungibility of funds between lifelong learning and RPL.
- The CPF is fully monetized, making a simple and effective tool when the market is complex and monetary value difficult to assess for individuals.
- The CPF is fully digitalized: Individuals manage their CPF accounts through a dedicated online platform (moncompteformation.gouv.fr) and/or a mobile application. They can view their available credits, search for eligible training programmes and directly enrol in courses using their CPF funds.
- The CPF is sustainable: Employers contribute to the CPF through a training levy. Enterprises with more than ten employees must allocate a percentage of their payroll to vocational training, part of which funds the CPF.

- The CPF is flexible: Employers can top-up the monetary credits available on the CPF of their employees if they wish to enrol in an RPL process that is relevant for the employers and not only an individual project irrelevant to the line of work of the enterprise.
- The CPF is not a systematically burden on the State budget as it is only virtual money and there is an actual payment only if the owner of the CPF actually enrol in RPL (or in education and training).

This approach – through an ILA – is likely to have an impact on cost and financing of RPL:

- The CPF is likely to affect the cost of RPL because all providers are competitors with one another, which usually leads to lower prices. Nevertheless, this is not necessarily a positive outcome because the quality is also affected. There is no solid evidence for RPL yet, but the cost of “Skills Audit” has significantly decreased since they are available for funding through the CPF and quality is less too.
- The CPF also has an impact on financing since the French approach – to which the CPF is only one of several tools – has been to put individuals in charge of their choices and career pathway. In other words, it is way easier to ask individual applicants to pay for their RPL process if they have access to reasonable funds through their CPF.
- It may also have an impact on financing if enterprises are involved in topping up the CPF. Indeed, recent evolutions to the CPF have enabled enterprises to become more involved in their employees’ choices in terms of training or RPL. If these individual choices are consistent with the enterprise’s competences development strategy, the enterprise can, for example, allow the RPL process to take place during working hours, in exchange of which the enterprise is indirectly financed by the CPF. If the chosen RPL programme suit the individual applicant, then it is a win-win situation because, again, the enterprise will top up the CPF if the funds available are insufficient to pay for the training or RPL programme in question. The downside is that enterprises may strongly influence the choice of employees and original individual projects may be less frequent.

► 3.2. Funding sources (public, private, individual, donor)

There are several distinct models for financing RPL, each involving combinations of funding sources that are used to varying extents across different countries. These sources primarily include government budget, enterprise sponsorship, individual payments and/or international donor aid. The availability and structure of these funding options significantly impact financial arrangements. For example, individual payment is often an issue as it can deter engagement in RPL. As we have seen, government funding may be allocated to individuals, to enterprises and/or to RPL providers depending on contextual needs as well as priorities. Political and policy choices play a key role in determining how the costs of RPL are shared among the different stakeholders (See Box 4c for an example).

Box 4c. Sharing the cost of RPL in Kenya

In practice, the only example among the countries under study of explicit cost-sharing is provided by Kenya where a model of revenue sharing was developed based on the various roles played (and costs incurred) by the four main stakeholders in the RPL assessment process:

- Qualification Awarding Institutions (QAI): 51.93%
- Assessment Centre: 33.37%
- Kenya National Qualifications Authority (KNQA): 7.35%
- Regulators: 7.35%

While RPL financing varies across countries due to different institutional frameworks, specific RPL approaches and other political considerations (for example, focus on some target groups or specific levels or sectors of the national qualifications framework), it remains true that financial arrangements ultimately converge on a limited set of approaches. However, the choice between these approaches is entirely context-dependent; no universal solution has been identified. Therefore, the options described here (based on what has been observed so far) should be viewed as a menu rather than a prescription.

3.2.1. Government funding to individuals, enterprises or RPL providers

The government may subsidize RPL directly or indirectly (see section 4.1 for details about the demand- and supply-side approaches). It may provide grants or loans to individuals or subsidies to RPL providers and/or to enterprises for them to register their employees for an RPL process. In general, government funding is an effective tool to make the case for RPL and create interest among stakeholders. When the official rhetoric is backed up by adequate funding, the leverage effect is stronger. Government funding is used by individual applicants to cover the cost of registration, if any, guidance and assessments. There is barely any evidence of grants to cover opportunity costs and foregone earnings. This is critical in countries where not working often means no earnings for covering the basic costs of life (for example, food, accommodation). This is of critical interest since most RPL applicants are required to demonstrate experience even before registration – eligibility phase, let alone actual assessment of learning outcomes – and therefore are adults and have a family to sustain.

For example, in Australia, the Government funds RPL in the specific niche of Skills Recognition and Training (SRT) thanks to which the Australian Defence Force (ADF) members can have their military skills recognized through a national qualification as part of their transition to the civilian workforce. They qualify for up to two RPL opportunities, at no cost since it is supported by the Ministry of Defence¹³, but this represents a very small component of the Australian RPL system. Generally speaking, in Australia, the funding is mainly private and, when it is by government, States vary in their contractual arrangements and percentage of funding RPL. In South Africa, various government programmes and subsidies are available to support RPL for critical skills shortages. In Kenya, the Government offers subsidized RPL services through the Technical and Vocational Education and Training Authority (TVETA). In France, in addition to the CPF that is an individual tool (Box 4a), the French Public Employment Service may provide up to €1,200 for a maximum of three attempts at achieving a qualification – including three different qualifications at the same time if they are of different level – over a period of five years. This covers the registration and assessment costs and, mainly, the cost of guidance that is seen as critical for individual success. It is available to migrant workers.

Government funding to individuals

Governments have several options for subsidizing individuals to encourage their enrolment in RPL. These options vary according to the country's education/training, competences development and lifelong learning systems and policies. They typically aim to make RPL more accessible and affordable for individuals.

Governments can provide direct financial support to individuals in the form of subsidies or grants to cover the costs of RPL assessments, related fees or top up learning programmes. For example, in South Africa, the National Skills Fund (NSF) provides grants to individuals to cover the cost of RPL assessments, especially for workers in priority sectors. In Australia, in some cases, individuals can apply for grants under specific competences development programmes or regional initiatives that fund RPL.

Governments can also issue vouchers or education/RPL credits to individuals that they can use to pay for RPL assessments or related learning activities. These vouchers can be redeemed by accredited RPL providers. The French individual learning account (CPF) is the typical example of money transferred to individuals for specific use, here RPL (Box 4a).

The loan system, largely experimented in the case of education and training, is also an option whereby individuals receive funds for their RPL process that they have to pay back when they reach a certain level of incomes. In Australia, the VET Student Loans programme may be used by eligible individuals to cover RPL costs in some VET programmes. In the United Kingdom of Great Britain and Northern Ireland, the Advanced Learner Loan may be used to cover RPL for certain qualifications.

When RPL systems are in their infancy, it is quite frequent that the funding of national RPL systems (as opposed to sectoral systems) – especially in relation to the piloting of RPL systems – relies entirely on the government (for example, Colombia). This is partly due to the lack of knowledge of key stakeholders regarding the existence of RPL and to the need for the government to start the process quickly. This is common when RPL is at the top of the policy agenda (for example, Kenya, South Africa) and/or quite consensual among key stakeholders (for example, Kenya again, with Jua Kali quite active in the field). In this case, it is basically a subsidy to individuals. Enterprises and RPL providers are not involved in receiving the funds or spending them on RPL.

¹³ <https://www.defence.gov.au/adf-members-families/military-life-cycle/transition/military-skill-recognition>

Government funding to enterprises (for their own employees)

It is not a standard practice for governments to directly subsidize private enterprises for sending their employees to RPL. The extent and nature of such subsidies vary from country to country, depending on their skills development policies and lifelong learning frameworks and it seems they are closely connected to the existence of a levy system. For example, South Africa has a structured system where employers contribute to the Skills Development Levy (SDL), which is administered by Sector Education and Training Authorities (SETAs). Enterprises that send their employees to RPL programmes can claim grants or subsidies from SETAs, making the government a significant funder of enterprise-driven RPL initiatives. Additionally, the National Skills Fund (NSF) provides funding for priority skills development programmes, which often include RPL. In Kenya, while direct funding to enterprises for RPL is limited, employers who contribute to the Industrial Training Levy can receive training reimbursements from NITA, including for RPL-related activities. This is indirect financial support but targeted at enterprises sending their employees to RPL.

Government funding to RPL providers (for their RPL applicants)

It is even more rare that governments directly subsidize RPL providers, especially when these only offer RPL services – as opposed to universities or TVET centres typically, which also offer formal learning programmes and therefore qualifications through the formal learning route.

Yet, governments can offer subsidies directly to RPL providers for them to reduce the fees they charge individuals for RPL assessments, in order to increase take up for example. This approach may not have an impact on opportunity costs but clearly reduces the financial burden on individuals by lowering the upfront costs of RPL (for example, registration fees, assessment fees). For example, in Singapore, the government subsidizes training providers under the SkillsFuture initiative, which includes subsidies for RPL.

Whether it concerns individuals, enterprises or RPL providers, an interesting approach to consider would be through the income tax system. There is little evidence about this approach but, for example, tax deductions or rebates may concern individual applicants who fully or partly pay for their own RPL programme. This would be particularly effective for middle-income earners who can claim back the cost of RPL. Indeed, low-income individuals generally do not pay tax and high-income ones are barely sensitive to cost issues. In Canada, some provinces allow individuals to claim tax deductions for tuition and education-related costs, including RPL assessments. In the United States of America, although it is not specific to RPL either, some states offer tax credits for lifelong learning, which can cover RPL.

3.2.2 Enterprise sponsoring

Many employers support RPL as part of their professional development programmes. They may directly cover the costs of RPL for their employees, in which case it is a win-win situation because individuals achieve a qualification (for example, to contribute to their occupational project) and employers may access more profitable markets (for example, when bidding for a tender that requires a certain proportion of the labour force to have a qualification).

Enterprises may see additional interest in sponsoring their employees, because self-esteem and confidence – which are well-documented gains of the RPL process as a whole, in addition to the awarding of a qualification – are good predictors of increased productivity. This is why direct sponsoring to cover registration fees, guidance and other related costs are often supplemented by additional help (for example, flexible working arrangements).

At the time of the drafting and especially considering the countries under study, employers are not yet too aware about the potential benefits for them and it is rare that they facilitate the undertaking of an RPL process by their employee during working hours, at the workplace or elsewhere (for example, Bangladesh).

In Kenya and South Africa, employers play a significant role in financing RPL for their employees.

3.2.3 Individual payments

Individuals oftentimes finance their RPL assessments directly, partly or fully. This is obviously common where government or employer support is not available or not available at the necessary level (section 4.3.1). For example, in Australia, RPL is mainly privately funded (Box 4b)

In the case of employees, even with the most generous employers, individuals are on their own when the qualification they are aiming for through RPL is outside the scope of their work. In the case of unemployed people, when the public employment service (PES) contributes partly or fully, the aimed qualification has to be relevant to the needs of the labour market in almost all cases.

When individuals are paying for themselves, there are sometimes opportunities to pay the cost of RPL over time, through different instalments.

3.2.4 Donors' financing

Even if it is rather rare, not-for-profit and community organizations may directly help some groups – at-risk groups typically – to engage in an RPL process. It is rare because usually these organizations rather focus on providing basic skills for their beneficiaries to make a living and usually use fast-track initiatives to train individuals. This is often the case in post conflict situations (for example, Uganda). Nevertheless, it is also true that RPL is sometimes considered a solution in post conflict situations, for example in Colombia and was explicitly used for redress in South Africa after the end of the Apartheid. Armenia is also a good recent example of international organizations intervening in emergency situations. This case is interesting because several international organizations have grouped for a more impactful action: the World Bank, various UN agencies, GIZ, the Asian Development Bank, the European Union and local NGOs have gathered with various Armenian ministries for designing a Skills Recognition Action Plan for forcibly displaced persons from the Karabakh region.

Generally speaking, when international organizations and donors help financing the RPL system, it is usually at the macro level in order to set the RPL system in motion, hence a quasi-systematic focus on governance or preparation work and pilot projects (for example, Bangladesh, Colombia, Tunisia). In this case, they quite often stress the integration of RPL into national skills strategies and it is often taking place in developing regions. These organizations do not only focus only on RPL, but RPL is quite often among the instruments they promote, together with improving access to education, promoting workforce development and addressing skills gaps, often targeting disadvantaged or marginalized groups. For example, the World Bank with the Skills and Training Enhancement Project (STEP) in Bangladesh, with a focus on the upskilling of workers in the informal economy, with the support of the Canadian Government. In Ghana, the Skills Development Fund (SDF) has included RPL as part of its strategy to make visible the skills of workers in the informal economy. The European Social Fund of the European Union plays a significant role in subsidizing RPL as part of its development cooperation programmes in member states (for example, the VAE in France, RPL in Ireland and EVC in the Netherlands). In Tunisia, the European Union also cofinance programmes since the mid 2010 where RPL is quite present (PEFESE, *Programme d'appui budgétaire aux secteurs de l'éducation, de la formation, de l'enseignement supérieur pour l'employabilité des diplômés*, and then IRADA, *Initiative régionale d'appui au développement économique durable*) and so does the ILO (RCV, *Rendre les compétences visibles*), with Norwegian support. The GIZ is now invited to take over to try to implement the quite convincing RPL system that Tunisia has designed on paper with the help of international organizations.

The ILO also advocates for the inclusion of RPL in national employment policies as a way to improve workers' employability. It supports governments and social partners in designing RPL systems that make workers' skills visible. In Africa and in Asia, for example, the ILO has supported RPL programmes with a focus on workers in the informal economy. International banks also support RPL as part of their broader focus on TVET and preparing individuals for the labour market and/or access to decent jobs. Again, this happening at a macro level for example striving for the full integration of RPL into national strategy, for education/training and lifelong learning systems.

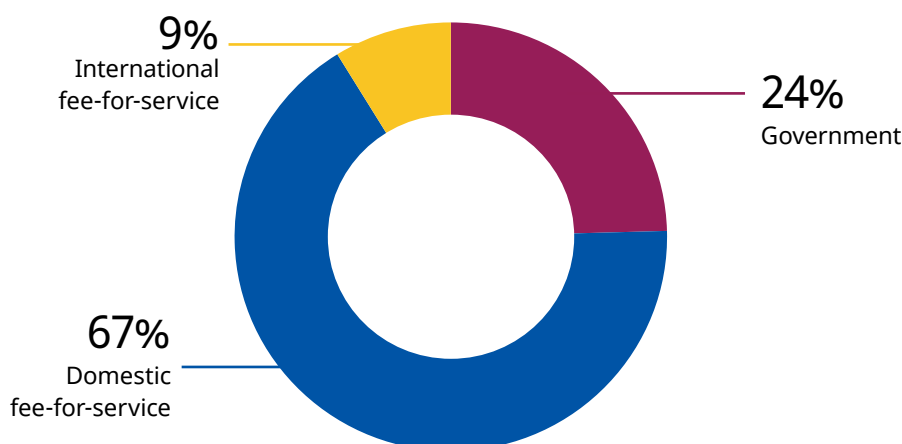
The issue with international specific aid is its poor sustainability. Inevitably, the international funds will stop and it was witnessed on several occasions that international funding was not followed by national funding. Colombia, for instance, involved the major player in the field of TVET – The *Servicio Nacional de Aprendizaje*¹⁴, SENA – early in the process to create momentum. They also set in motion a process for accrediting institutions and are now looking into sustainable financing options (see Case study 7). For example, the Tanzanian government is allocating funding for RPL and hence is a successful example where international donor funding (Norway, implemented through ILO) led to system building and then institutionalization

Box 4b. Funding in Australia

RPL is Privately Funded

- RPL is not seen as a strategic investment in Australia, it is a 'part' of the training system that is arguably under-utilized even though representative bodies of leading industries have identified it as a possible way to get skills visible and utilized. Most set-up costs are borne by providers. They are also expected to find the market.
- The majority of RPL is therefore funded privately at the moment. This may be individuals or employers. The majority of RPL is provided by private Registered Training Organization (RTOs).
- The Australian Industry Group (AIG) have always advocated for RPL and now call for a national review on how RPL is funded (Parliament of Australia, 2024, page 168)¹⁵

Figure 4: Funding source RPL 2018-2023



¹⁴ National Apprenticeship Service

¹⁵ Inquiry into VET status and perceptions of VET (https://parlinfo.aph.gov.au/parlInfo/download/committees/reportrep/RB000170/toc_pdf/Sharedvision,equalpathways.pdf)

“Domestic fee for service” is a funding arrangement where domestic individuals (local residents or citizens) pay for RPL services out-of-pocket or through their employers. This model contrasts with fully subsidized programmes where the Government or other entities cover the costs.

Australian Government funding for training is provided to States and Territories through National Partnership Agreements. States and Territories add to this with their own priorities and therefore the costs are then borne by the Government. This typically funds mainstream training and assessment of which providers can choose to deliver via RPL¹⁶. Typical advertising from public providers can be seen at: Receive Recognition for Prior Learning | TAFE Queensland (tafeqld.edu.au) or at: Get recognition for your skills and past study

Example of State RPL-specific funded programme Trade Skills Assessment and Gap Training programme¹⁷ | : Trade Skills Assessment and Gap Training programme | Department of Employment, Small Business and Training (<https://desbt.qld.gov.au/training/providers/funded/tradegap>)

Recognition of migrant workers’ skills is funded by the Ministry of Home Affairs.

► 3.3. Financing instruments (funds, incentives, grants)

Financing instruments for RPL encompass various mechanisms and tools used to fund RPL initiatives. They are not specific to RPL and may be found in the TVET sector typically.

3.3.1. Levy system

A levy system involves mandatory contributions from employers to a centralized fund dedicated to RPL, among other instruments linked to skills development and access to qualifications. The fund would possibly have different targets and funding mechanisms and RPL would be among the targets, together with skills development for instance. The levy is typically calculated as a percentage of the employer’s payroll and is collected to create a pooled fund that supports RPL. The primary aim of a levy is to ensure a sustained source of funding.

The key feature of a training levy is that all employers are required by law to contribute a specified percentage of their payroll towards the levy. The contribution rate can vary depending on the country and the specific regulations in place. It is usually connected to the size of the enterprises, with small enterprises generally exempted. It may happen that enterprises already investing in RPL are also exempted from this contribution (enterprises do RPL or pay tax).

Another feature is that the collected levies are pooled into a central fund managed by a government agency or a dedicated RPL development authority. This fund is then used to finance various RPL programmes or components of the RPL system (for example, training assessors, communication strategy).

Funds from the levy are earmarked for specific purposes and only the RPL system could benefit from this money. Having said that, the levy approach leaves all latitude to government to focus the funding on policy target groups or other issues (for example, addressing skills shortages, improving the overall level of qualification of the workforce, reducing inequities and promoting decent wages/jobs).

¹⁶ <https://www.skills.vic.gov.au/s/get-recognition-for-your-skills>

¹⁷ <https://desbt.qld.gov.au/training/providers/funded/tradegap>

Examples of levy system are provided by industry bodies, in Australia, where they sometimes apply special funds such as this Western Australia project Recognition of Prior Learning | RPL Construction & Trades | CTF which uses industry levies. Generally speaking, the key trigger in Australia is skills shortages, such as: Increasing the number of tradespeople in NSW: new Trade Skills Pathways Centre commences operations | Ai Group which is a state initiative using RPL to bridge the skills gap. The National Skills Fund (South Africa) is funded by a skills development levy on employers' payrolls. It is overseen by the Department of Higher Education and Training. It supports various skills development initiatives (VET, skills programmes for unemployed people) and RPL. The Industrial Training Levy, in Kenya, is collected by the National Industrial Training Authority (NITA) to fund industrial training and RPL programmes.

3.3.2. RPL fund

Again, a fund is not a specific instrument. A fund is a dedicated financial resource established to support the development and enhancement of a particular aspect (that is, skills within the workforce). In the case of RPL, it is typically funded through contributions from employers, government allocations or other sources, and is managed by a regulatory or oversight body.

A fund is an interesting instrument because it pools resources that are set aside for a specific purpose (here RPL). It therefore allows for the allocation of resources toward a clearly defined aim or specific objectives. It ensures that resources are used efficiently and for the intended purpose. It enables key stakeholders to focus resources on the most critical areas of concern (for example, marginalized groups, labour force, skills recognition). A fund makes it easier to track where money is being spent. Since the resources are allocated for a specific purpose, there is usually more transparency on how the money is used, leading to better financial management and accountability, therefore creating trust, which is not always there yet when it comes to RPL. A fund ensures that the provision of resources is rather stable over time, supporting long-term aims, such as going beyond the pilot(s). If properly managed, a fund can attract investments and donations, for example, involving the private sector and international donor in something that is always mainly seen as the responsibility of the Government. Because it is earmarked, a fund ensures that resources are not dispersed across unrelated projects or initiatives, preventing fragmentation of efforts and ensuring that critical areas receive the attention they need.

A fund is not an instrument that is specific to RPL. It is used way beyond the field of education and training. In the TVET sector, it is amply used in French-speaking Africa for example (Gauron and Walther 2006). Except in Australia, there is no known example of a fund that would be dedicated to RPL only. In practice, all existing funds are meant to fund skills development in general, with RPL one of the possible types of expenditure.

At the time of drafting, the possible reasons why dedicated RPL funds do not exist on a large scale is probably because RPL is often considered in a wider context, such as lifelong learning or more narrowly within the context of substituting end-of-apprenticeship exams for apprentices in the informal economy or equivalence for TVET qualifications. It is rarely seen as a stand-alone initiative. This perspective overlooks the fact that an RPL system is somewhat easy to set in motion, with quick wins for all stakeholders, especially individuals and enterprises, whereas qualifications frameworks, for example, can be cumbersome and politically risky. Having said that, it is also true that RPL is just another route to qualifications making it is difficult to justify a special treatment.

RPL is often perceived as an administrative process rather than a standalone tool, which means it does not always benefit from a strong political support. This may be due to a lack of understanding or a poor communication strategy. Finally, in some countries, there is a belief that RPL will receive limited demand and does not cost much. The lack of monitoring and evaluation also contribute to these beliefs as there is no real measurement of the benefits of RPL, hence it is difficult to justify its cost and its financing through a specific fund. In some countries, the emerging belief that the solution to skills deficit is quick training does not help RPL, which requires more time to organize. Where opportunities to address skills gaps are

built into the RPL process (for example, Tanzania), this can help make RPL more relevant to workforce challenges and increase its visibility and support.

As seen above, RPL funds are often financed through a levy system whereby employers contribute a percentage of their payroll. This is mandatory in several countries (see section 4.4.1, for example, Denmark, France, Ghana, Kenya, Malaysia, Mauritius, the Netherlands, Singapore, South Africa) and ensures a steady flow of funds. Some RPL funds receive additional direct financial support from the government to supplement employer contributions and cover unexpected or urgent needs (for example, increase in take-up, infrastructure costs, staff costs). International donors may be asked to contribute to this RPL fund when their aid is consistent with RPL (for example, fighting poverty and promoting decent jobs, helping zones in post conflict situations).

There is little hindsight regarding RPL funds, but they should be flexible enough to respond to changing population needs (for example, from TVET qualifications to higher education qualification or from a level to the other or to address new qualifications gaps). Funds are generally considered a convincing instrument to encourage innovative approaches because they can be quickly adapted.

3.3.3. Loans

It is also possible to provide loans to individual applicants for enrolling in an RPL programme and examples can be found in Australia and South Africa. It is standard practice for studying in the higher education system, but little evidence of wide use could be found for RPL in the countries under study. There is for example the National Student Financial Aid Scheme (NSFAS) in South Africa that is primarily aimed at covering costs for higher education, but which is said to be able to also support TVET and RPL (see the National Student Financial Aid Scheme). In Australia, the Government offers loans to eligible students to cover the cost of their TVET or RPL.¹⁸

Given the potential of RPL to generate additional earning, thanks to the newly acquired qualification, this is an option to consider. It is close in essence to a direct grant to individual applicants except that the candidate will have to reimburse the sum they received. The repayment terms are usually spelled out in the contract.

Loans typically need to be repaid after the individual completes their RPL and starts earning above a certain income threshold, with terms varying by country or region. Most of these loan programmes also have specific eligibility criteria, including residency status, income levels and the type of RPL programme. This approach is nonetheless difficult to implement in countries with large informal economies since income threshold cannot be monitored.

Examples of loans for RPL can be found in New Zealand, where the Student Loan Scheme offers student loans for tertiary education, which can include costs associated with RPL processes. These loans are designed to help students cover their tuition fees, course-related costs and living expenses while they study. They can also be found in the United Kingdom, where Advanced Learner Loans are available to individuals aged 19 and over to help cover the costs of approved qualifications at levels 3 to 6, which can include RPL programmes. In Canada, various provincial student aid programmes, such as OSAP in Ontario or StudentAid British Colombia, provide loans and grants that can be used for post-secondary education and training, including RPL-related expenses. In the United States, while again primarily for degree programmes, federal student aid can sometimes be used for vocational training and RPL if the programme is offered by an eligible institution. In Norway, the Norwegian State Educational Loan Fund (*Lånekassen*) provides loans and grants for students in higher education and vocational training, including costs related to RPL.

¹⁸ <https://www.dewr.gov.au/vet-student-loans/resources/recognition-prior-learning-rpl>

► 3.4. Specific issues in financing RPL

3.4.1. Role of governance structures in financing RPL – The need for social dialogue

The governance structure has a major influence on the financing arrangements for RPL, mainly because it will change its nature and therefore its cost. The organizational and regulatory frameworks within a country's skills recognition system impact the funding and financial management of RPL initiatives.

First and foremost, national policies set objectives and priorities for skills development and RPL, therefore influencing how funds are allocated to various programmes and systems, in turn influencing RPL financing arrangements. In addition, according to whether these national policies lead to short- or long-term strategies, the RPL financial arrangements should be designed to be sustained over time or not.

The bodies overseeing RPL may have different rules and regulations about the way to use the available money for RPL, therefore influencing how efficient are the RPL system. For example, in South Africa, Sector Education and Training Authorities (SETAs), oversee the disbursement of funds and therefore help manage costs and ensure that financial resources are used to address the needs of the target groups.

When the funding is centralized, due to the existence of national funds pool resources from various sources – for example, employer levies, government contributions – to finance RPL, there is a more strategic and potentially impactful use of funds.

When partnerships approaches are used, such as partnerships between the public sector and the private productive sectors, there is a sharing of the financial risk and therefore key stakeholders may be keener on developing further the RPL system. In addition, through collaborative efforts, partnerships can leverage resources more efficiently, reducing overall costs and enhancing the quality of the RPL programmes.

The involvement of employers – either directly or through a partnership as mentioned above – may make useful usual financial incentives such as tax breaks. The involvement of employers generally has an impact on the RPL financing arrangements because their investment can offset public sector costs and increase the availability of RPL opportunities.

The presence of international organizations and donors in the governance may also have an impact on RPL financial arrangements through the targeting of specific groups of the population that usually comes with international funds.

The level of control in general – through quality assurance, elaboration of standards and/or monitoring and evaluation – it also clearly has an impact on RPL financial arrangements. Although they have a limited impact on the cost of RPL, they do imply a rethinking of the balance in the allocate of funds between systemic costs and field costs.

If all stakeholders are involved in the governance structure, they likely all have a say in determining the price to be paid by RPL participants – individuals and enterprise typically – which in turn impacts on the RPL financial arrangements.

All these arguments militate in favour of social dialogue. RPL, perhaps more than other approaches, requires that most stakeholders of the world of education and most stakeholders of the world of work talk to one another.

CHAPTER

4



Conclusion



Recognizing the diverse costs and funding structures of RPL, approaches that aim at sharing the cost of RPL among the different stakeholders have the potential to create consensus. This involves contributions from the Government, employers, RPL providers, individuals and international organizations and donors. The debate about sharing the cost of RPL among key stakeholders revolves around finding the most equitable, efficient and sustainable way to finance RPL initiatives.

In terms of equity, RPL serves the public good by improving workforce qualification levels and therefore employability, which benefits society as a whole. Therefore, it should be partly publicly funded. This would ensure that RPL is accessible to all, including unemployed people – through the public employment service – and those from disadvantaged backgrounds who might not afford it otherwise. Since employers benefit directly from a more qualified workforce, they should also contribute to covering of the cost of RPL for their employees or employees in general. Individuals are also direct beneficiaries of the RPL system. Therefore, they should also invest in their qualifications. If affordability is an issue, individuals could be invited to pay a symbolic amount, but it seems always good to ask participants to pay because what is free has no value and because motivation may be low if the price is nil. There are notable exceptions such as Colombia where the economic crisis was so severe that the pilot has been delivered for free, at the expense of the Government and with the support of IDB.

Another set of arguments relates to efficiency and effectiveness. Centralized funding and administration of RPL can lead to economies of scale, reducing overall costs and increasing efficiency, which means that the Government should contribute. Employers also should contribute so that they can tailor RPL to meet specific qualifications needs, for them or in the labour market in general. Individuals who invest in their own RPL may be more motivated to complete the process and they may have greater choice and flexibility in selecting RPL providers and programmes that best meet their needs.

In terms of sustainability, the contribution of the Government guarantees sustainable funding models that are necessary to ensure the long-term viability of RPL programmes. In order to contribute, employers need assurance that their investment in RPL will yield tangible benefits, such as increased productivity and reduced turnover. They may benefit from tax breaks and/or subsidies. Individuals need access to financial support mechanisms, such as loans or grants, to make their contribution sustainable. Yet, investing in RPL can lead to long-term career benefits, making it a sustainable personal investment.

In terms of accountability and transparency, governments have the potential to establish clear regulatory frameworks to ensure transparency and accountability in the use of RPL funds. Regular monitoring and evaluation of RPL programmes ensure that funds are used effectively and achieve desired outcomes. Employers want to see measurable outcomes from their investment in RPL, requiring transparent reporting and accountability mechanisms. Involving them in governance structures ensures that their contributions are used appropriately and effectively. Individuals are more interested in clear information about the costs, benefits and financial support options available for RPL. Transparency and accountability protect individuals from potential exploitation by unscrupulous providers.

Establishing an effective and efficient RPL system requires careful planning and coordination, especially in terms of financial arrangements. These guidelines are intended as a comprehensive tool to support stakeholders in establishing an RPL system that effectively leverages financial resources in their own national context. Rather than offering a list of prescriptions, they serve as a structured menu to ensure that all aspects of financial planning and management are considered, giving the greatest chance to lead to a sustainable and impactful RPL system.

Ultimately, the success of an RPL system depends on addressing critical factors such as needs assessment, strategic planning and governance, funding and financial sustainability (including support to learners and RPL applicants), stakeholder engagement and collaboration (social dialogue), quality assurance and qualifications or assessment standards, awareness/communication and outreach, accessibility and equity, innovation and adaptability, as well as monitoring and evaluation. By focusing on these pillars, stakeholders can create an RPL system that not only optimizes financial resources but also unlocks opportunities for individuals and contributes to national economic and social development.

CHAPTER

5



Annexes



Annex 1. List of Interviewees and Country Sources

Most of the work was desk based. Nevertheless, some interviews were deemed necessary, for clarification. The team wishes to thank the following experts that demonstrated a high and impressive level of expertise regarding RPL in their country.

Australia

Ms. Deb Carr, International Australian RPL Expert.

Master Builders Association (state-based union) RPL Recognition of Prior Learning (RPL) (mbansw.edu.au). Partnership arrangement with NSW TAFE.

Military skill recognition | ADF Members & Families | Defence

National Skills Passport: National Skills Passport Consultation - Department of Education, Australian Government

National Skills Taxonomy: National Skills Taxonomy Discussion Paper | Jobs and Skills Australia

Qualification reform: VET Qualification Reform - Department of Employment and Workplace Relations, Australian Government (dewr.gov.au)

Australian universities accord Final report: Australian Universities Accord Final Report - Department of Education, Australian Government

Inquiry into VET status and perceptions of VET 2024 AG: Shared vision, equal pathways (aph.gov.au)

Bangladesh

Mr. Hari Pada Das, ILO

Colombia

Mr. Juan Simbaqueba: coordinador del grupo de Formación para el Trabajo de la Dirección de Movilidad y Formación para el Trabajo del Ministerio).

Ms. Clara Montero: especialista RAP Programa para Fortalecer Políticas de Empleo - BID).

Ms. Lina Leguizamón: especialista reincorporación Programa para Fortalecer Políticas de Empleo - BID).

Ms. Tatiana Cadena: líder técnica RAP Dirección de Movilidad y Formación para el Trabajo del Ministerio).

Kenya

Documents only

South Africa

Documents only

Tunisia

Documents only



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